

BANCOPATAGONIA

Financial Statements as of June 30, 2009
Jointly with the Limited Review Report on Interim Financial
Statements and the Statutory Audit Committee's Report.

BANCO PATAGONIA S.A.

FINANCIAL STATEMENTS AS OF June 30, 2009 (NOTE 1.1)

TABLE OF CONTENTS

	Page
Limited Review Report on Interim-Period Financial Statements	
Cover page.....	1
Balance Sheets	2
Statements of Income	7
Statements of Changes in Shareholders' Equity	9
Statements of Cash Flows	10
Notes to the Financial Statements	12
Exhibit A - Breakdown of Government and Private Securities.....	44
Exhibit B - Financing Facilities Classified by Status and Guarantees Received	46
Exhibit C - Financing-Facilities Concentration	48
Exhibit D - Financing Facilities Broken down by Term.....	49
Exhibit E - Breakdown of Investments in other Companies.....	50
Exhibit F - Changes in Bank Premises and Equipment, and Miscellaneous Assets	52
Exhibit G - Breakdown of Intangible Assets	53
Exhibit H - Deposits Concentration	54
Exhibit I - Breakdown by Term of Deposits, other Liabilities from Financial Intermediation and Subordinated Corporate Bonds	55
Exhibit J - Changes in Allowances and provisions.....	56
Exhibit K - Capital Stock Structure	57
Exhibit L - Foreign Currency Balances	58
Exhibit N - Credit Assistance to Related Parties	59
Exhibit O - Derivative Financial Instruments	60
Schedule 1 -Consolidated Financial Statements	61
Statutory Audit Committee's Report	

LIMITED REVIEW REPORT ON INTERIM-PERIOD FINANCIAL STATEMENTS

To the Shareholders and Directors of
BANCO PATAGONIA S.A.
Registered office: Tte. Gral. J. D. Perón 500
Buenos Aires

1. We have performed a limited review of the accompanying balance sheet of BANCO PATAGONIA S.A. as of June 30, 2009, and the related statements of income, changes in shareholders' equity and cash flows for the six-month period then ended. In addition, we have performed a limited review of the accompanying consolidated balance sheets of BANCO PATAGONIA S.A. and its subsidiaries as of June 30, 2009, and the related consolidated statements of income and cash flows for the six-month period then ended, which are disclosed as supplementary information in Schedule I. These financial statements are the responsibility of the Bank's Management.

2. We performed our limited review in accordance with the provisions of FACPCE (Argentine Federation of Professional Councils in Economic Sciences) Technical Resolution No. 7 applicable to a limited review of interim financial statements and with the "Minimum external auditing standards" issued by BCRA (Central Bank of Argentina) applicable to the review of quarterly financial statements. Under such standards, a limited review consists primarily in applying analytical procedures to the accounting information and making inquiries of the persons in charge of accounting and financial matters. A limited review is substantially less in scope than an audit of financial statements, the objective of which is to express an opinion on the financial statements taken as a whole. Therefore, we do not express such an opinion.

3. As mentioned in note 2 to the accompanying financial statements, the financial statements mentioned in paragraph (1) have been prepared by the Bank in conformity with the accounting standards established by the BCRA, which differ from the professional accounting standards approved by the CPCECABA (Professional Council in Economic Sciences of the City of Buenos Aires), Argentina, in certain valuation and disclosure aspects described and quantified in such note.

4. Based on our review, we have not become aware of any material change that should be made to the financial statements mentioned in paragraph (1) for them to be presented in conformity with the standards established by the B.C.R.A. and, except for the effect of the matters mentioned in paragraph (3), with the professional accounting standards effective in Buenos Aires City, Argentina.

5. In connection with the stand-alone and consolidated balance sheets of BANCO PATAGONIA S.A. as of December 31, 2008, and the related stand-alone and consolidated statements of income and changes in cash flows, and statement of changes in shareholders' equity for the six-month period ended June 30, 2008, presented for comparative purposes, we report that:

- a) On February 18, 2009, we issued our auditors' report on the financial statements of BANCO PATAGONIA S.A. as of December 31, 2008, for the year then ended, to which we refer, which included exceptions regarding differences between BCRA standards applied and professional accounting standards effective in the City of Buenos Aires, Argentina, which are detailed in note 2 to the abovementioned financial statements. We have not audited any financial statements as of any date or for any period subsequent to December 31, 2008.
- b) On August 7, 2008, we issued our limited review report on the financial statements of BANCO PATAGONIA S.A. for the six-month period ended June 30, 2008, to which we refer, which included exceptions regarding differences between BCRA standards applied and professional accounting standards effective in Buenos Aires City, Argentina, which are detailed in note 3 to the abovementioned financial statements.

6. In compliance with current legal requirements, we further report that:

- a) The accompanying financial statements were transcribed into the Financial Statements Book.
- b) The financial statements of BANCO PATAGONIA S.A. are taken from accounting records kept, in all formal respects, in conformity with current legal requirements and BCRA standards.
- c) As of June 30, 2009, liabilities accrued in employer and employee contributions to the Federal Social Security Administration resulting from the Bank's accounting books amount to ARS 14,172,920, none of which was due and payable as of that date.

Buenos Aires,
August 10, 2009

PISTRELLI, HENRY MARTIN Y ASOCIADOS S.R.L.
C.P.C.E.C.A.B.A. Vol. 1 - Fo. 13

Andrea N. Rey
Partner
Certified Public Accountant (U.B.A.)
C.P.C.E.C.A.B.A. Vol. 241 - Fo. 14

BANCO PATAGONIA S.A.		
Registered office:		
Teniente Gral. Juan D. Perón 500 – Buenos Aires – Argentina		
Main business activity: Commercial bank		C.U.I.T. (Argentine tax identification number): 30 - 50000661 – 3
Incorporation date: May 4, 1928		
Registration with the Buenos Aires City Public Registry of Commerce	Date	(1) Of the articles of incorporation: 09/18/1928
		(2) Of the last amendment: 08/14/2007
	Book	Stock Corporations Book: 36
		Number: 13.424
Expiry of the articles of incorporation: August 29, 2038		
Fiscal year No. 86		
Beginning date: January 1, 2009		Closing date: December 31, 2009
Capital structure (Note 3 and Exhibit K)		
Number and characteristics of Shares	In Argentine pesos	
	Subscribed	Paid-in
748,155,678 book-entry shares of common stock of ARS 1 face value and entitled to one vote each	748,155,678	748,155,678
Information required by the BCRA (Central Bank of Argentina)		
Name of the undersigned auditor:	Andrea N. Rey	
Professional firm:	Pistrelli, Henry Martin y Asociados S.R.L.	
Report for the six-month period ended June 30, 2009	8 (quarterly closing – unqualified, as per BCRA regulations)	

Marcelo A. Iadarola
Accounting Manager

Rubén M. Iparraguirre
General Assistant Manager
Administration and Finance Area

Jorge G. Stuart Milne
Chairman

Signed for identification purposes with our
report dated 08.10.09
On behalf of Statutory Audit Committee

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Certified Public Accountant (U.B.A.)
C.P.C.E.C.A.B.A. Vol. 58 – Fo. 135
Statutory Auditor

Andrea N. Rey (Partner)
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BANCO PATAGONIA S.A.

BALANCE SHEETS
AS OF 06/30/09, AND 12/31/08
(Figures stated in thousands of Argentine pesos)

ASSETS	06/30/09	12/31/08
A. Cash		
Cash on hand	367,309	415,449
Financial institutions and correspondents	850,795	1,015,580
BCRA (Central Bank of Argentina)	673,518	831,450
Other in Argentina	18,584	15,605
Other abroad	<u>158,693</u>	<u>168,525</u>
	1,218,104	1,431,029
B. Government and private securities (Exhibit A)		
Holdings in investment accounts	92,694	186,947
Holdings for trading or intermediation transactions	506,272	60,180
Unlisted government securities	57,164	45,482
Instruments issued by the BCRA	1,491,420	1,600,101
Investments in listed private securities	-	62
(Allowances) (Exhibit J)	<u>(13,122)</u>	<u>-</u>
	2,134,428	1,892,772
C. Loans		
To the nonfinancial government sector (Exhibits B, C and D)	10,947	29,464
To the financial sector (Exhibits B, C and D)	214,227	298,990
Interbank (call options sold)	39,443	178,286
Other financing facilities granted to local financial institutions	172,416	118,326
Accrued interest, adjustments and listed-price differences receivable	2,368	2,378
To the nonfinancial private sector and foreign residents (Exhibits B, C and D)	3,666,858	3,513,887
Overdrafts	622,586	594,239
Notes	1,287,483	1,353,126
Mortgage loans	122,714	129,846
Collateral loans	85,327	58,572
Personal loans	827,741	768,194
Credit cards	445,467	430,320
Other	239,904	141,861
Accrued interest, adjustments and listed-price differences receivable	41,404	45,586
(Unearned discount)	<u>(5,768)</u>	<u>(7,857)</u>
(Allowances) (Exhibit J)	<u>(149,275)</u>	<u>(106,627)</u>
	3,742,757	3,735,714

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BALANCE SHEETS
AS OF 06/30/09, AND 12/31/08
(Figures stated in thousands of Argentine pesos)

ASSETS – Continued	06/30/09	12/31/08
D. Other receivables from financial intermediation		
BCRA	260,345	111,567
Amounts receivable from spot and forward sales pending settlement	499,032	1,109,704
Securities and foreign currency receivable from spot and forward purchases pending settlement	33,507	1,808
Unlisted corporate bonds (Exhibits B, C and D)	6,743	7,954
Other not covered by Debtor Classification Standards	111,215	95,698
Other covered by Debtor Classification Standards (Exhibits B, C and D)	13,079	13,026
Accrued interest and adjustments receivable covered by Debtor Classification Standards (Exhibits B, C and D)	311	241
(Allowances) (Exhibit J)	<u>(1,739)</u>	<u>(1,675)</u>
	922,493	1,338,323
E. Assets under financial lease		
Assets under financial lease (Exhibits B, C and D)	159,124	186,356
(Allowances) (Exhibit J)	<u>(2,680)</u>	<u>(2,350)</u>
	156,444	184,006
F. Investments in other companies (Exhibit E)		
In financial institutions	38,422	34,928
Other	<u>38,242</u>	<u>36,142</u>
	76,664	71,070
G. Miscellaneous receivables		
Trade receivables (Exhibits B, C and D)	8,219	8,675
Other (Note 16)	154,066	144,035
Accrued interest and adjustments receivable related to trade receivables (Exhibits B, C and D)	36	107
(Allowances) (Exhibit J)	<u>(3,275)</u>	<u>(4,615)</u>
	159,046	148,202
H. Bank premises and equipment (Exhibit F)	103,527	96,636
I. Miscellaneous assets (Exhibit F)	116,098	40,341
J. Intangible assets (Exhibit G)	-	-
K. Items pending allocation	658	375
TOTAL ASSETS	8,630,219	8,938,468

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BALANCE SHEETS
AS OF 06/30/09, AND 12/31/08
(Figures stated in thousands of Argentine pesos)

LIABILITIES	06/30/09	12/31/08
L. Deposits (Exhibits H and I)		
Nonfinancial government sector	709,911	706,526
Financial sector	28,160	38,299
Nonfinancial private sector and foreign residents	4,742,638	4,501,109
Checking accounts	1,004,340	934,466
Savings accounts	1,531,845	1,417,735
Certificate of deposit	1,903,090	1,911,830
Investment accounts	2,269	5,742
Other	284,122	213,668
Accrued interest, adjustments and listed-price differences payable	16,972	17,668
	5,480,709	5,245,934
M. Other liabilities from financial intermediation		
BCRA (Exhibit I)	632	880
Banks and international organizations (Exhibit I)	21,351	161,769
Amounts payable for spot and forward purchases pending settlement	34,056	2,019
Securities and foreign currency to be delivered under spot and forward sales pending settlement	547,986	1,233,855
Financing facilities received from local financial institutions (Exhibit I)	-	6,986
Other financing facilities from local financial institutions	-	6,907
Accrued interest payable	-	79
Other (Exhibit I) (Note 16)	320,996	337,439
Accrued interest, adjustments and listed-price differences payable (Exhibit I)	91	2,242
	925,112	1,745,190
N. Miscellaneous liabilities		
Dividends payable	133,373	-
Other (Note 16)	309,043	218,750
	442,416	218,750
O. Provisions (Exhibit J) (Note 5)	67,850	58,683
P. Subordinated corporate bonds (Exhibit I)	122,705	112,288
Q. Items pending allocation	1,665	1,513
TOTAL LIABILITIES	7,040,457	7,382,358
SHAREHOLDERS' EQUITY (as per related statement)	1,589,762	1,556,110
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	8,630,219	8,938,468

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BALANCE SHEETS
AS OF 06/30/09, AND 12/31/08
(Figures stated in thousands of Argentine pesos)

MEMORANDUM ACCOUNTS	06/30/09	12/31/08
DEBIT BALANCE		
Contingent		
Loans obtained (unused amounts)	332	1,742
Guarantees received	4,795,556	4,412,627
Contingent debit-balance contra accounts	<u>199,021</u>	<u>147,220</u>
	4,994,909	4,561,589
Control		
Receivables classified as irrecoverable	323,188	344,506
Other (Note 16)	2,207,476	1,640,353
Control debit-balance contra accounts	<u>673,401</u>	<u>598,436</u>
	3,204,065	2,583,295
Derivatives (Exhibit O and note 12)		
Notional value of forward transactions without delivery of underlying asset	1,325,436	473,937
Derivatives debit-balance contra account	<u>72,050</u>	<u>239,347</u>
	1,397,486	713,284
Trust activity (Note 10)		
Trust funds	<u>978,525</u>	<u>818,960</u>
	978,525	818,960
TOTAL DEBIT-BALANCE MEMORANDUM ACCOUNTS	10,574,985	8,677,128

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BALANCE SHEETS
AS OF 06/30/09, AND 12/31/08
(Figures stated in thousands of Argentine pesos)

MEMORANDUM ACCOUNTS – Continued	06/30/09	12/31/08
CREDIT BALANCE		
Contingent		
Loans granted (unused amounts) covered by Debtor Classification Standards (Exhibits B, C and D)	40,000	29,489
Other guarantees provided covered by Debtors Classification Standards (Exhibits B, C and D)	53,524	43,001
Other guarantees provided not covered by Debtors Classification Standards	49,978	41,417
Other covered by Debtors Classification Standards (Exhibits B, C and D)	55,519	33,313
Contingent credit-balance contra accounts	<u>4,795,888</u>	<u>4,414,369</u>
	4,994,909	4,561,589
Control		
Checks and securities to be credited	162,763	175,104
Other	510,638	423,332
Control credit-balance contra accounts	<u>2,530,664</u>	<u>1,984,859</u>
	3,204,065	2,583,295
Derivatives (Exhibit O and note 12)		
Notional value of put options sold	36,561	39,685
Notional value of forward transactions without delivery of underlying asset	35,489	199,662
Derivatives credit-balance contra accounts	<u>1,325,436</u>	<u>473,937</u>
	1,397,486	713,284
Trust activity (Note 10)		
Trust activity credit-balance contra accounts	<u>978,525</u>	<u>818,960</u>
	978,525	818,960
TOTAL CREDIT-BALANCE MEMORANDUM ACCOUNTS	10,574,985	8,677,128

The accompanying notes 1 through 23, exhibits A through L, N and O, and Schedule I are an integral part of these financial statements,

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BANCO PATAGONIA S.A.

STATEMENTS OF INCOME
For the six-month periods ended
06/30/09 and 06/30/08
(Figures stated in thousands of Argentine pesos)

BREAKDOWN	06/30/09	06/30/08
A. FINANCIAL INCOME		
Interest on cash	238	4,038
Interest on loans to the financial sector	21,352	13,397
Interest on authorized overdrafts	85,541	61,653
Interest on notes	95,198	76,330
Interest on mortgage loans	6,994	7,145
Interest on collateral loans	4,389	3,523
Interest on credit card loans	40,820	23,243
Interest on other loans	111,145	60,005
Interest on other receivables from financial intermediation	70	372
Net income from government and private securities	204,480	94,496
Income from secured loans Presidential Decree No. 1,387/01	946	1,742
Adjustments under CER (benchmark stabilization coefficient) clause	347	6,532
Adjustments under CVS (salaries variation coefficient) clause	53	93
Gold and foreign currency differences in value	97,795	-
Other	<u>114,468</u>	<u>38,576</u>
	783,836	391,145
B. FINANCIAL EXPENSE		
Interest on savings-account deposits	3,294	3,312
Interest on certificates of deposit	150,172	99,357
Interest on interfinancial loans received (call received)	1,334	1,283
Interest on other financing facilities from financial institutions	1,430	403
Interest on other liabilities from financial intermediation	825	351
Interest from subordinated corporate bonds	2,956	4,586
Other interest	266	593
Adjustments under CER clause	33	274
Contribution to the deposit guarantee fund	4,996	4,353
Gold and foreign currency listed price difference	-	4,206
Other	<u>40,272</u>	<u>18,198</u>
	205,578	136,916
GROSS INTERMEDIATION MARGIN	578,258	254,229
C. LOAN LOSSES PROVISION	53,030	13,222
D. SERVICE-CHARGE INCOME		
Related to lending transactions	67,952	70,171
Related to borrowing transactions	107,136	79,774
Other commission	12,695	11,102
Other	<u>36,230</u>	<u>28,672</u>
	224,013	189,719

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BANCO PATAGONIA S.A.

STATEMENTS OF INCOME
For the six-month periods ended
06/30/09 and 06/30/08
(Figures stated in thousands of Argentine pesos)

BREAKDOWN - Continued	06/30/09	06/30/08
E. SERVICE-CHARGE EXPENSE		
Commissions	23,895	16,886
Other (Note 16)	<u>40,097</u>	<u>36,443</u>
	63,992	53,329
F. ADMINISTRATIVE EXPENSES		
Personnel expenses	186,708	156,364
Directors' and statutory auditors' fees	4,011	3,227
Other professional fees	10,500	10,528
Advertising and Publicity	11,090	7,991
Taxes	20,048	14,911
Bank premises and equipment Depreciation	7,024	5,721
Other operating expenses	79,027	58,774
Other	<u>12,114</u>	<u>11,095</u>
	330,522	268,611
NET INCOME FROM FINANCIAL INTERMEDIATION	354,727	108,786
G. MISCELLANEOUS INCOME		
Income from long-term investments	2,845	2,045
Punitive interest	1,189	464
Receivables recovered and allowances reversed	10,479	18,080
Other (Note 16)	<u>7,958</u>	<u>6,407</u>
	22,471	26,996
H. MISCELLANEOUS EXPENSE		
Punitive interest and charges payable to the BCRA	13	32
Charge for uncollectibility of miscellaneous receivables, and other provisions	20,818	4,209
Losses and depreciation of miscellaneous assets	766	514
Other	<u>2,963</u>	<u>2,650</u>
	24,560	7,405
NET INCOME BEFORE INCOME TAX	352,638	128,377
I. INCOME TAX (Note 1.4.r)	170,728	44,350
NET INCOME FOR THE PERIOD	181,910	84,027

The accompanying notes 1 through 23, exhibits A through L, N and O, and Schedule I are an integral part of these financial statements

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BANCO PATAGONIA S.A.**STATEMENTS OF CHANGES IN SHAREHOLDERS' EQUITY**

For the six-month periods ended

06/30/09, and 06/30/08

(Figures stated in thousands of Argentine pesos)

Changes	Capital stock (1)	Non-capitalized contributions Additional paid-in capital (1)	Appropriated retained earnings Legal reserve	Unappropriated retained earnings (3)	Total as of 6/30/2009	Total as of 6/30/2008
Balances at beginning of year restated	748,156	217,191	186,978	403,785	1,556,110	1,377,185
Distribution of unappropriated retained earnings, as approved by the Regular Shareholders' Meeting held on 4/27/2009						
- Legal reserve	-	-	53,349	(53,349)	-	-
- Cash dividends	-	-	-	(133,373)	(133,373)	(66,500)
Repurchase of treasury stock (2)	-	-	-	(14,885)	(14,885)	-
Net income for the period	-	-	-	181,910	181,910	84,027
Balance at end of period	748,156	217,191	240,327	384,088	1,589,762	1,394,712

(1) See note 3.1.

(2) See note 3.2. and Exhibit K.

(3) See note 19.

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Accounting Manager

Rubén M. Iparraguirre
General Assistant Manager
Administration and Finance Area

Jorge G. Stuart Milne
Chairman

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On behalf of Statutory Audit Committee

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BANCO PATAGONIA S.A.

STATEMENTS OF CASH FLOWS
For the six-month periods ended
06/30/09 and 06/30/08

(Figures stated in thousands of Argentine pesos)

<u>Changes in cash and cash equivalents</u>	06/30/09	06/30/08
Cash at beginning of year	1,431,029	1,069,408
Cash at end of period	1,218,104	1,070,556
Net (decrease) / Increase in cash	(212,925)	1,148
<u>Causes of changes in cash</u>		
<u>Operating activities</u>		
Net collections / (payments) for:		
Government and private securities	(106,208)	424,758
Loans	398,719	(280,764)
To the financial sector	106,115	(44,021)
Nonfinancial government sector	19,840	189,476
Nonfinancial private sector and foreign residents	272,764	(426,219)
Other receivables from financial intermediation	(79,033)	(564,200)
Assets under financial lease	50,413	(7,337)
Deposits	(16,782)	80,312
To the financial sector	(10,139)	(313)
Nonfinancial government sector	3,385	114,103
Nonfinancial private sector and foreign residents	(10,028)	(33,478)
Other liabilities from financial intermediation	(4,394)	654,089
Financial sector or interfinancial loans (call received)	(1,413)	19,393
Other (except for the obligations included under financing activities)	(2,981)	634,696
Collections related to service-charge income	225,498	188,341
Payments related to service-charge expense	(65,833)	(51,735)
Administrative expenses paid	(388,076)	(261,610)
Net collections for punitive interest	1,176	432
Collection of dividends from other companies	707	546
Other payments/ (collections) related to miscellaneous income and loss	(10,692)	(61,303)
Net payments/ (collections) for other operating activities	(8,743)	(2,575)
Income tax paid	(48,349)	(47,752)
<u>Net cash flow provided by operating activities</u>	(51,597)	71,202

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BANCO PATAGONIA S.A.**STATEMENTS OF CASH FLOWS**
For the six-month periods ended
06/30/09 and 06/30/08

(Figures stated in thousands of Argentine pesos)

	06/30/09	06/30/08
<u>Investing activities</u>		
Net Collections/ (Payments) for bank premises and equipment	(7,335)	(15,853)
Net Collections/ (Payments) for miscellaneous assets	(78,686)	(5,304)
Payments for the acquisition of investments in other companies	(4)	(4)
<u>Net cash flow used in investing activities</u>	(86,025)	(21,161)
<u>Financing activities</u>		
Banks and international organizations (payments) / collections	(140,418)	20,852
Subordinated corporate bonds payments	(3,662)	(5,618)
Dividends payments	-	(66,500)
Other payments for financing activities – Repurchase of treasury stock (1)	(14,885)	-
<u>Net cash flow used in financing activities</u>	(158,965)	(51,266)
Financial income and holding gains from cash and cash equivalents (including interest and monetary gain)	83,662	2,373
Net decrease in cash	(212,925)	1,148

(1) See note 3,2,

The accompanying notes 1 through 23, exhibits A through L, N and O, and Schedule I are an integral part of these financial statements,

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**NOTES TO THE FINANCIAL STATEMENTS FOR
THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

NOTE 1: Significant accounting policies

These financial statements were prepared in pursuant to the accounting standards established by the BCRA (Central Bank of Argentina) and arise from the Bank's books of account kept in accordance with effective legal requirements and regulations.

1.1 Comparative information

Under BCRA (Central Bank of Argentina) standards, the balance sheet as of June 30, 2009, and exhibits that specify so are presented comparatively with the amounts of the prior year-end, while the statement of income, statement of changes in shareholders' equity and statement of cash flows for the six-month period ended June 30, 2009, are required to include comparative information from the same period of the prior fiscal year.

1.2 Amounts stated in thousands of Argentine pesos

The amounts disclosed in these financial statements are stated in thousands of Argentine pesos as required by BCRA standard "CONAU 1 –111" (Communiqué "A" 3,359).

1.3 Restatement in constant pesos

BCRA and professional accounting standards establish that the financial statements should be stated in constant pesos. Within a monetary stability context, the face and constant value of Argentine pesos is used as constant currency, but, in an inflationary or deflationary context, the financial statements should be stated in pesos reflecting the purchasing power as of their closing date by recognizing the changes in the IPIM (Domestic wholesale price index) published by the INDEC (Argentine Institute of Statistics and Censuses), in accordance with the restatement method under FACPCE (Argentine Federation of Professional Councils in Economic Sciences) Technical Resolution No. 6.

The Bank's financial statements recognize the changes in the currency purchasing power through February 28, 2003, as required by Presidential Decree No. 664/2003, CNV (Argentine Securities Commission) General Resolution No. 441 and BCRA Communiqué "A" 3,921.

Professional accounting standards provide for discontinuing the application of the restatement method set forth in FACPCE Technical Resolution No. 6 as from October 1, 2003. The effects of failing to recognize the changes in the currency purchasing power through such date were not material as to these financial statements taken as whole.

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**NOTES TO THE FINANCIAL STATEMENTS FOR
THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

1.4 Main valuation and disclosure methods

The main valuation and disclosure methods followed in the preparation of the financial statements as of June 30, 2009, and comparative figures (see note 1.1) are:

a) Assets and liabilities in foreign currency

Assets and liabilities denominated in US dollars have been valued at the benchmark foreign exchange rate set by the BCRA for the US dollar at the closing of operations of the last business day of each period or fiscal year, as applicable. In addition, assets and liabilities denominated in other foreign currencies were converted at the exchange rates published by the BCRA. Foreign exchange differences were charged to the statement of income for each period.

b) Government and private securities

1. Holdings in investment accounts

According to the provisions of BCRA Communiqué "A" 4,861 dated October 30, 2008, the Bank chose to classify certain holdings, originally classified as holdings for trading or intermediation, as "special investment accounts". As of the year ended June 30, 2009, and December 31, 2008, those holdings were valued at their cost of addition defined in such communiqué, increased by the accrual of the internal rate of return (IRR) as from the date of inclusion in this classification, net of the related offset account.

When the market value of these holdings is lower than the book value thereof, the IRR accrual will be charged, on an accumulated basis, to an offset account created for such purpose. As of June 30, 2009, and December 31, 2008, this account has a total of 1,270, and 11,189, respectively. This method will be kept until the book value is equal to the market value and such offset account will be reversed against a statement-of-income account as long as its amount exceeds the positive difference between the market value and the book value of those holdings.

Under such method, Argentine Government Bonds in USD Libor 2012 (Boden) were valued at a face value of USD 190,398,900. The market value of these Holdings as of June 30, 2009, and December 31, 2008, amounted to 176,315 and 179,191, respectively, with the difference between the book value and the market value amounted to 20,630 and 59,774, respectively.

2. Holdings for trading or intermediation transactions

They were stated at the listed price prevailing as of each year end MVBA (Buenos Aires securities market) or MAE (electronic over-the-counter market), as the case may be, plus the

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NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1) (Figures stated in thousands of Argentine pesos)

coupons pending collection. Listed-price differences were charged to the statement of income for each period.

3. Unlisted government securities

As provided in BCRA Communiqué "A" 4898, dated January 22, 2009, holdings of government securities without published volatility and included in the current list of securities published by the BCRA were valued, as of period end, at the higher value between the present value published by the BCRA and the book value as of January 31, 2009, net of financial services collected subsequently to that date and of the related offset account, as described below (book value).

When the present value of these holdings is lower than their book value, the accrual of interest, and as the case may be, the adjustment from application of the CER (benchmark stabilization coefficient) shall be allocated, on an accumulated basis, to an offset account created for this purpose, until the book value is equal to the present value, and such offset account will be reversed against a statement-of-income account as long as its amount exceeds the positive difference between the present value and the book value of those holdings.

The present values published by the BCRA arise from the return curve of the securities related to the same type of instruments, with normal and regular quoted prices and of a similar duration, in conformity with the methodology disclosed by such Institution.

Accordingly, as of June 30, 2009, the Bank booked an allowance for impairment in the value of government securities amounted to 13,122, to value its holdings of "Argentine Government bonds in ARS private BADLAR + 350 basis points maturing in 2013" in accordance with the present values reported by the BCRA.

4. Instruments issued by the BCRA

Listed LEBAC (BCRA bills) and NOBAC (BCRA notes): These government securities are valued at the listed price prevailing as of each period-end or year-end on the MVBA (Buenos Aires securities market) or MAE (electronic over-the-counter market), as the case may be. Listed-price differences were charged to the statement of income for each period.

In the case of unlisted LEBAC and NOBAC: They were valued at cost increased exponentially applying the internal rate of return as of period or year end, as the case may be. The related accrual was allocated to income for each period.

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**NOTES TO THE FINANCIAL STATEMENTS FOR
THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

c) Credit assistance to the government sector

PGN (loans granted to the Argentine Government and secured by bonds) - Presidential Decree No. 1,387/01:

Under Communiqué "A" 4898 dated January 22, 2009, as supplemented, (effective as from February 2009), the secured loans issued by the Argentine Government under Presidential Decree No. 1387/01 were booked as of June 30, 2009, at the higher value resulting from the comparison between its present value disclosed by the BCRA and its book value as of January 31, 2009, (net of the offset account of the prior month and of the financial services collected in this period).

When the net book value of the offset account thus determined is equal to or lower than the present value, the Bank will reverse the related offset account in the related amount resulting from the difference between the present value and the abovementioned net book value.

To such ends, the present values disclosed by the BCRA will result from the curve or return of securities related to the same type of instrument, with normal and regular quoted prices and of a similar duration.

Additionally, under Communiqué "A" 3911 as supplemented, the secured loans had been booked as of December 31, 2008, at the lower value between their present value and their notional value.

The positive difference between the lower of the present value and the technical value and the notional values as defined by point 4, BCRA Communiqué "A" 3,911, as supplemented, was disclosed in an asset offset account. In order to determine the technical value, the issuance conditions or the particular features of each asset were taken into account, considering, as appropriate, the switch into pesos of transactions in foreign currency, the CER (benchmark stabilization coefficient) adjustment, and interest accrued as of each year-end. In addition, to determine the present value, cash flows according to the contractual conditions set in each assistance described above (including, as appropriate, the accumulated accrual at month-end by CER application) were discounted at the interest rates stipulated in the schedule of point 2 of the Communiqué mentioned above.

As from August 2007, through Communiqué "A" 4,704, the BCRA established a discount rate that neutralizes the income from interest earned with the loss derived from the decrease in the present value of the securities covered due to the effect of using a discount rate higher than that applied in the prior month. Such method will be applied as long as it is not verified that, if the market rate required by Communiqué "A" 3,911 is used, there is such a discount rate that

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**NOTES TO THE FINANCIAL STATEMENTS FOR
THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

implies a loss in the economic value of the portfolio covered lower than or equal to income if interest earned and, as the case may be, the CER are considered.

In addition, based on the analysis and determination of the recoverable value thereof, the Bank has booked an allowance for impairment in value for the related difference.

As of June 30, 2009, and December 31, 2008, such assistance was booked under the "Loans – To the nonfinancial government sector" account in the amount of 4,031 and 23,691, respectively.

On February 2, 2009, Joint Resolutions 8/2009 and 5/2009 of the Treasury and Finance Departments established the performance of a new transaction for the swap of certain secured loans payable for a new bond or promissory note called "Argentine Government bond or promissory note in ARS private BADLAR + 275 basic points maturing in 2014" the issuance date of which is January 30, 2009 and full amortization will take place at maturity on January 30, 2014.

The interest rate payable on a quarterly basis is 15.4% during the first year and the BADLAR rate plus 275 basic points for the remaining period.

In this regard, on January 29, 2009, and March 5 and 20, 2009, the Bank subscribed swap agreements whereby it delivered secured loans for a face value of ARS 33,294,689 for swap and received Bonar BADLAR + 275 basis points in Argentine pesos maturing in 2014 for a face value of ARS 102,462,094, which were classified as "Government and private securities - Holdings for trading or intermediation transactions".

d) Interest accrual

Interest has been accrued for on the basis of compounding, except in the cases of foreign-trade transactions, savings-account balances and authorized overdraft balance, which have been accrued for by the simple interest method.

The Bank decided directly to interrupt the accrual of interest whenever the collection of principal granted or the payments of loans were in default (generally, with delays over 90 days) and the recoverability of the principal loaned and of accrued interest was uncertain. Interest accrued until the interruption is deemed part of the payable upon determining the amount of loan provisions. Subsequently, interest is only recognized based on collection, once the receivable for previously accrued interest has been settled.

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**NOTES TO THE FINANCIAL STATEMENTS FOR
THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

e) Accrual of the adjustment by CER

As of June 30, 2009, and December 31, 2008, certain receivables and payables were adjusted by CER as follows:

1. Secured loans certificates

They were adjusted pursuant to Resolution 50/2002 of the Ministry of Economy, which provided that the payment of principal and interest of these loans should be adjusted by CER of 10 (ten) business days prior to the related service maturity date, and that the residual principal should be adjusted through the last day of the period. (See note 1.4.C.)

2. Other loans and other assets:

They were adjusted pursuant to BCRA Communiqué "A" 3,507, as supplemented, which provided that, until December 31, 2002, payments should be made under the original terms and conditions of each transaction, and that they should be allocated as payments on account, whereas principal was adjusted as from February 3, 2002, by the CER of December 31, 2002, deducting the abovementioned payments on account since payment date, except for those subject to Law No. 25,713, which excludes from CER application certain lines of mortgage, collateral, and personal loans.

3. Deposits

They were adjusted by CER as from the date of each deposit through period-or year-end, as the case may be.

f) Accrual of the adjustment by CVS

Under BCRA Communiqué "A" 4,103, the loans specified therein were adjusted through March 31, 2004, applying the CVS (salaries variation coefficient) instead of being adjusted by CER.

g) Loans and deposits of government securities

They were valued according to the effective listed prices for each security as of the period or year-end, as the case may be, plus the related accrued interest. Listed-price differences were charged to the statement of income for each period.

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**NOTES TO THE FINANCIAL STATEMENTS FOR
THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

h) Allowance for uncollectibility, risk, contingent commitments and provision for other contingencies

1. Allowance for loan losses and provision for contingent commitments

The loan loss reserve was booked based on the estimated uncollectibility risk of the Bank's credit assistance, which results from assessing the compliance from borrowers and the guarantees supporting the related transactions in conformity with BCRA Communiqué "A" 2,950, as supplemented.

2. Provision for other contingencies:

Covers the amounts estimated by the Bank necessary to bear likely contingencies that, if verified, will result in a loss for the Bank.

i) Other receivables from financial intermediation

1. Receivables and payables for repo transactions, forward and spot transactions pending settlement

They were valued at the prices agreed upon for each transaction taking into account the premiums accrued as of period- or year-end, as the case may be. These premiums were charged to income for each period.

2. Amounts receivable and amounts payable from spot and forward sales and purchases pending settlement

They were valued at the prices agreed upon for each transaction plus the related premiums accrued as of each period- or year-end, as the case may be. These premiums were charged to income for each period.

3. Securities and foreign currency receivable or payable from spot or forward purchases or sales pending settlement

They were valued at the effective price listed for each security and foreign currency on Mercado de Valores de Buenos Aires or Mercado Abierto Electrónico as of period- or year-end, as the case may be. Listed-price differences were charged to the statement of income for each period.

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NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1) (Figures stated in thousands of Argentine pesos)

4. Unlisted corporate bonds

They were valued at cost increased exponentially applying the internal rate of return.

5. Other not covered by Debtor Classification Standards – Financial Trusts

They were valued at cost adjusted by CER, where applicable, and increased exponentially applying the internal rate of return.

j) Assets under financial lease

These assets were valued at the present value of unaccrued amounts, calculated based on the terms and conditions agreed upon in the related contracts, net of the allowance for uncollectibility risk.

k) Investments in other companies

As of June 30, 2009, and December 31, 2008, the equity interests in other companies were valued as follows:

1. Subsidiaries: Banco Patagonia (Uruguay) S.A.I.F.E., Patagonia Valores S.A. Sociedad de Bolsa, and Patagonia Inversora S.A. Sociedad Gerente de Fondos Comunes de Inversión, by the equity method as of each period or year-end, as the case may be.
2. Other companies: At cost restated applying the process described in note 1.3. or by the equity method, whichever lower, considering each company's latest available financial statements.

l) Bank premises and equipment, and miscellaneous assets

These assets were booked at cost, restated following the procedure described in note 1.3. In addition, the Bank has booked an allowance for impairment in value of real property to adjust the value of such assets to their market value.

Depreciation was calculated based on the months of useful life. The assets were fully depreciated in the month of addition, but were not depreciated in the month of retirement.

The residual value of bank premises and equipment, and other, taken as a whole, does not exceed the recoverable value of such assets.

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BANCO PATAGONIA S.A.

**NOTES TO THE FINANCIAL STATEMENTS FOR
THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

m) Other miscellaneous assets

These assets were booked at cost, restated following the procedure described in note 1.3.

Depreciation, when appropriate, was calculated based on the months of useful life. The assets were fully depreciated in the month of addition, but were not depreciated in the month of retirement.

The residual value of these assets, taken as a whole, does not exceed their recoverable value.

n) Intangible assets

1. The account "Differences from court resolutions - Not deductible from computable equity - Original value" reflects the difference between the amount in original foreign currency converted at the exchange rate applied for the return of deposits under *recursos de amparo* (constitutional rights protection actions) and the amount booked according to the regulations effective as of the payment date (switching into pesos at the ARS 1.40-to-USD 1 exchange rate or the equivalent in other foreign currencies, plus the CER application).

As of June 30, 2009, and December 31, 2008, the amount booked stood at 234,226.

Applying the criterion defined by the Bank in this connection, the abovementioned amount was fully written off and charged to income through the year ended December 31, 2007.

Additionally, the Bank estimated an additional amount between its update according to the rulings mentioned in note 1.4 t and its book value, allocating it directly to income for the cases which are not resolved.

2. In the account "Differences from court deposits dollarization - deductible from computable equity - Original value", as required by BCRA Communiqué "A" 4,686, dated July 4, 2007, the difference between the equivalent value in pesos, considering the court deposits in the currency in which they were made and the book value of such deposits made in foreign currency which, as of January 5, 2002, fell under the scope of Law 25,561 and Presidential Decree No. 214/02.

As of June 30, 2009, the amount booked is 1,725 and according to the criterion adopted by the Entity was amortized in full and charged to income. (See note 1 4 T.)

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(Figures stated in thousands of Argentine pesos)

o) Items pending allocation

This account comprises the items that, due to administrative organization reasons or the special nature of the relationship with third parties, were not directly allocated to the related accounts.

p) Shareholders' equity.

Capital stock remained at its original value.

q) Statement of income

The accounts comprising monetary transactions occurred in each period (financial income (expense), service-charge income (expense), loan loss provision, administrative expenses and other income (expense)) were computed at their historical amounts on a monthly accrual basis.

The accounts reflecting the impact on income (loss) from the sale, retirement or consumption of nonmonetary assets were computed based on the values of those assets.

Income (loss) from interests in subsidiaries was computed based on the income (loss) of those companies.

r) Income tax and minimum presumed income tax

The Bank assesses income tax by applying the 35% current rate over taxable income for the year, disregarding the effect of temporary differences between book and taxable income.

As of June 30, 2009, and December 31, 2008, the Bank assessed income tax based on taxable income of 170,728 and 110,288, respectively, which is recorded under "Miscellaneous liabilities" and was charged to income for the period or year, as the case may be, under "Income tax". Such amounts were higher than the amounts related to minimum presumed income tax for such period or year, as the case may be.

Minimum presumed income tax was established by Law No. 25,063 for a ten-year term for fiscal years ended as from December 31, 1998. This tax is supplementary to income tax because, while the latter is levied on taxable income for the year, minimum presumed income tax is a minimum levy determined by applying the current 1% rate on the potential income of certain productive assets. Therefore, the Bank's tax obligation will be equal to the higher of the two taxes. In the case of institutions governed by Financial Institutions Law, the abovementioned law sets forth that they shall consider as taxable income 20% of their taxable assets, previously deducting those assets defined as non-computable. However, should minimum presumed

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THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

income tax exceed income tax in a given year, such excess may be computed as a payment on account of any income tax in excess of minimum presumed income tax that may occur in any of the following ten years. In addition, through Law No. 26,426 dated December 19, 2008, it was decided to extend the effective term for such tax through December 30, 2009.

s) Severance pay

The Bank allocates severance pay directly to expenses.

t) Legal actions

As a result of the measures taken by the Argentine Government in connection with the de-dollarization of deposits originally denominated in US dollars, and the rescheduling of bank deposits from early 2002, a significant number of legal actions were brought by individuals and companies against financial institutions, including this bank, on grounds that these measures breached constitutional rights, among others.

These constitutional rights protection actions resulted in a significant withdrawal of deposits from those entities because they should reimbursed rescheduled deposits (mostly, deposits in US dollars before the de-dollarization) at the freely-floating exchange rate instead of the amount booked according to the regulations effective as of the payment date (switch into Argentine pesos at the ARS 1.40-to-USD 1 exchange rate or the equivalent in other foreign currencies, plus the CER application), at which deposits were de-dollarized and recorded.

As mentioned in note 2.4.N 1, the Bank records in the "Differences from court resolutions - Not deductible from computable equity - Original value" account, the difference between the amount in original foreign currency converted at the exchange rate applied for the return of deposits under constitutional rights protection actions and the amount booked according to the regulations effective as of the payment date.

Applying the criterion defined by the Bank in this connection, the abovementioned amounts have been fully written off and charged to income.

Also, during 2006, and 2007, the Argentine Supreme Court entered different judgments ordering and/or clarifying both the calculation method and the computation of advance payments with respect to the deposits involved.

Finally, in Communiqué "A" 4,686 dated July 4, 2007, consistent with what was mentioned above, the BCRA established that the court deposits should be considered at the value at which they were made in the original currency converted into Argentine pesos as of the period or year

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THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

end, as the case may be. For this calculation, the partial payments made shall be considered as having been paid in foreign currency. Furthermore, the BCRA set forth that the financial institutions shall be able to capitalize the difference resulting from such calculation and book value of the deposit. (See note 1.4.N.2.).

1.5 Use of accounting estimates

In preparing the financial statements, in certain cases the Bank is required to make estimates to determine the book values of assets and liabilities as well as their disclosure, as of each date on which the accounting information is presented.

Bank bookings are based on the best estimate regarding the probability of occurrence of different future events and, therefore, the final amount may differ from such estimates, which may have a positive or negative impact on future periods.

NOTE 2: Main differences between BCRA standards and professional accounting standards effective in Argentina

In August 2005, the CPCECABA (Professional Council in Economic Sciences of the City of Buenos Aires) approved Resolution CD No. 93/2005, whereby it introduced a series of changes in its professional accounting standards, as a result of the agreement entered into with the FACPCE to unify Argentine professional accounting standards. Such changes involve the adoption of the technical resolutions and interpretations issued by the FACPCE's governing board through April 1, 2005. Such resolution is generally effective in the City of Buenos Aires for fiscal years beginning as from January 1, 2006, and establishes transition standards that defer the mandatory effective term of certain changes to the years beginning January 1, 2008. Subsequently, through Resolutions 42/2006 and 34/2008 the CPCECABA approved Technical Resolutions No. 23 and 24, respectively, effective for the annual or interim financial statements for the fiscal years beginning July 1, 2006, and January 1, 2009, respectively, admitting the early application thereof.

Finally, on April 15, 2009, the CPCECABA approved Technical Resolution No. 26 "Professional accounting standards: Adoption of International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board (IASB)", through Resolution No. 25/2009, effective for the years beginning as from January 1, 2011.

These professional standards differ in certain valuation and disclosure aspects from BCRA accounting standards. The differences between such standards identified by the Bank and considered material to these financial statements are further described below:

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**NOTES TO THE FINANCIAL STATEMENTS FOR
THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

Valuation standards

a) Deferred income tax

The Bank assesses income tax by applying the effective rate to the estimated taxable income disregarding the effect of temporary differences between book and taxable income. In accordance with professional accounting standards, income tax should be booked by the deferred tax method, which consists in recognizing (as receivable or payable) the tax effect of temporary differences between the book and tax valuation of assets and liabilities, and in subsequently charging them to income for the periods in which such differences are reversed, having duly considered the likelihood of using such NOLs in the future, if applicable. Had the deferred tax method been applied, as of June 30, 2009, it would have been appropriate to record an additional asset of 343 and, as of December 31, 2008, it would have been appropriate to record an additional liability of 45,345. In addition, the income tax charge for the six-month period ended June 30, 2009, would have decreased by 45,688.

b) Argentine government securities – Holdings in investment accounts

As from October 1, 2008, the Bank decided to consider part of its holdings of Argentine Government Bonds in USD Libor 2012 (Boden) as assets to be held to maturity in the understanding of having an adequate financial capacity to keep them and other conditions set out in Technical Resolution No. 17, point 5(7) "Investments in debt securities to be held to maturity and not hedged", which were valued under the method established by BCRA Comunicado "A" 4,861 mentioned in note 1.4.B.1.

Consequently, as of June 30, 2009 and December 31, 2008, the Bank charged to this category a face value of USD 190,398,900 amounting to 198,215 and 250,153, respectively, net of an Offset account of 1,270 and 11,189, respectively. According to professional accounting standards, it was not appropriate to create such offset account. Therefore, as of June 30, 2009, and December 31, 2008, an additional asset should have been booked in the amount of 1,270 and 11,189, respectively, and the income for the six-month period ended June 30, 2009, would have increased by 9,919.

c) Argentine Government securities – Unlisted

As of December 31, 2008, the Bank recorded in the "Government securities – unlisted" account 45,420 for Argentine Government Bonds in Argentine pesos private BADLAR + 350 basis points maturing in 2013, which are valued at the lower value between their present value according to the guidelines set forth in point 2, BCRA Comunicado "A" 3911, as supplemented, and their

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NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1) (Figures stated in thousands of Argentine pesos)

notional value. According to professional accounting standards, the valuation method of such securities is at present values, therefore, had the abovementioned regulations been applied, as of December 31, 2008, assets would have decreased by 12,920. As of June 30, 2009, such holding was valued according to the present values reported by the BCRA, which were considered representative of their market value. (see note 1.4.B.3.)

If the professional accounting standards had been applied, the Bank's shareholders' equity as of June 30, 2009, would have increased by 1,613, and, as of December 31, 2008, would have decreased by 47,076. Additionally, income for the six-month period ended June 30, 2009 would have increased by around 35,769.

Disclosure aspects

The Bank has not presented the information by segment or earnings per share.

NOTE 3: Capital stock

1. Capital structure

On July 20, 2007, under a capital increase approved by the Regular and Special General Shareholders' Meeting of Banco Patagonia S.A., held on April 24, 2007, the shares of the Bank began to be traded on the BCBA (Buenos Aires stock exchange) and on the BOVESPA (Sao Paulo stock exchange) as Certificates of Deposit in Brazil (BDRs). The CNV authorized Caja de Valores S.A. to handle the Bank's Registry of Shares through Regulation No. 1,373.

Furthermore, on July 23, 2007, the Board of Directors of Banco Patagonia S.A. decided to approve the amount subscribed for the Class "B" shares issuance of face value ARS 75,000,000 shares in order to register the capital stock increase with the Buenos Aires City Public Registry of Commerce.

The Bank's capital stock is made up of 748,155,678 shares, comprising 22,768,818 Class "A" shares and 725,386,860 Class "B" shares, all of them book-entry shares with a face value of ARS 1 each and entitled to one vote per share.

Finally, on August 14, 2007, such capital increase was registered with the Public Registry of Commerce of the City of Buenos Aires, under No. 13,424, Stock Corporations Book 36.

The funds resulting from such capital increase shall continue to be used to support the business expansion process planned by the Bank for the next few years. Class "A" shares represent the

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**NOTES TO THE FINANCIAL STATEMENTS FOR
THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

interest held by the Province of Río Negro, whereas Class "B" shares account for the interest held by private capital.

2. Treasury stock acquisition plan

As a result of the current international macroeconomic conditions and of the volatility which the capital market has been experiencing, the prices of local shares as well of the Bank's shares have been negatively affected. In this regard, considering the Bank's strong financial position and in line with its commitment towards its shareholders, on July 31, 2008, the Bank's Board of Directors decided to implement a plan for the repurchase of treasury stock on the Argentine market, under section 68, Law 17,811 (added by Presidential Decree 677/01) and CNV regulations, up to 95,500, with a limit of 50,000,000 Class "B" book-entry shares of common stock, entitling the holder to one vote per share and each of face value ARS 1. The price payable for the shares should range from ARS 1.72 to ARS 1.91 per share and the term to carry out these acquisitions was 90 days running as from August 1, 2008.

On September 16, 2008, the Bank's Board of Directors resolved to change the prevailing market conditions, change the terms and conditions by reducing the minimum price to ARS 1.40 per share, and on October 21, 2008, it resolved to eliminate the minimum price and to extend the term to carry out acquisitions to two hundred and ten running days as from August 1, 2008, which expires on February 27, 2009. This elimination does not entail an appreciation of the actual value of Banco Patagonia S.A.'s shares and the purpose thereof is only to provide the Bank with increased flexibility for the implementation of the abovementioned plan. Additionally, on February 18, 2009, the Bank's Management approved a 180-day extension, the new expiry date of which would fall on August 26, 2009.

The deadline for the divestiture of the acquired shares, as set forth in Chapter XXIII.11.14 of CNV regulations, is three years as from their acquisition date, except for any extension to be decided by the Shareholders' Meeting.

Under the abovementioned purchase program, during the fiscal year ended December 31, 2008, the Bank had acquired and settled a face value of ARS 16,467,670 shares of common stock amounting to 21,321. Furthermore, during the period ended June 30, 2009, the Bank purchased and settled a face value of ARS 10,448,451 share of common stock amounting to 14,885, as shown in the Statement of Changes in Shareholders' Equity. Furthermore, as of June 30, 2009, a face value of ARS 133,000 shares of common stock amounting to 203 were agreed-upon and pending settlement.

According to the provisions of Chapter XXIII.11.13 of CNV regulations, the accounting treatment given to treasury stock acquisitions is as follows:

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THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

- a) The acquisition cost for those shares is debited to "Unappropriated retained earnings – Prior-year retained earnings".
- b) The "Capital stock – Shares issued and outstanding" account is debited for the face value of the shares acquired and the "Capital stock - Treasury stock issued" account is credited.

NOTE 4: Restricted assets

The Bank has the following restricted assets:

1. Government and private securities: Federal Government Bonds in US dollars, Libor 2012 (BODEN 2012), for a face value of 1,500,000, credited to Caja de Valores, which are subject to an attachment for a contractual breach related to former Banco Sudameris Argentina S.A., booked as of June 30, 2009, and December 31, 2008, for 1,552 and 1,883, respectively.
2. Other receivables from financial intermediation:
 - a) Special guarantee accounts opened with the BCRA for the transactions related to electronic clearing houses and other similar ones, in the amount of 157,685, and 100,967, respectively.
 - b) Government securities under guarantee of offset forward transactions (OCT MAE):
 - BODEN 2012 for a face value of USD 67,786,000 and a face value of USD 8,446,000, respectively, valued at 70,117 and 10,600, respectively.
 - Coupon 15 Boden 2012 income and depreciation for a face value of USD 67,786,000 as of June 30, 2009, valued at 32,544
3. Miscellaneous receivables: as of June 30, 2009, and December 31, 2008, the Bank carried:
 - a) Government securities securing the IABD loan of the Global Credit Program for micro, small- and medium-sized enterprises:
 - Boden 2012 for a face value of USD 33,000,000 booked for 34,135 and 41,417, respectively.
 - Coupon 15 Boden 2012 income and depreciation for a face value of USD 33,000,000 as of June 30, 2009, valued at 15,843

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**NOTES TO THE FINANCIAL STATEMENTS FOR
THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

- b) Security deposits in favor of credit card managing companies for 16,660 and 11,437, respectively.
- c) Deposits made to guarantee certain nonsignificant lawsuits for 2,247 and 1,702, respectively.
- d) Principal and interest related to BODEN 2012, credited to Caja de Valores, which are subject to an attachment due to the contractual breach mentioned in point (a) above, for 3,677, and 3,306, respectively.
- e) Other security deposits for 854 and 806, respectively.

NOTE 5: Allowances

Below are the amounts estimated by the Bank to meet contingencies of likely occurrence:

Item	06/30/09	12/31/08
Labor and legal contingencies	57,504	42,965
Contingencies under constitutional rights protection actions (see note 1.4.t)	8,677	13,986
Difference from court deposits dollarization Communiqué "A" 4,686	1,463	1,146
Guarantee fund	-	395
Contingent commitments	206	191
TOTAL	67,850	58,683

NOTE 6: Contribution to the ISSB (Banking Health Services Institute)

The contribution provided in section 17 (f), Law No. 19,322 - originally 2% on income and commissions charged by banks - was reduced to 1% from July 1, 1996, through July 1, 1997; as from which date, the abovementioned contribution was abrogated (Presidential Decrees Nos. 263, dated March 20, 1996, and 915, dated August 7, 1996).

The Argentine Bank Employees' Association (ABA) filed a constitutional rights protection action seeking that the abovementioned decrees be declared unconstitutional. The Federal Administrative-Contentious Court of Appeals ruled in favor of the constitutional protection action, reversing the original decision, and declared both decrees illegal.

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Subsequently, on November 4, 1997, the Federal Supreme Court of Justice declared the extraordinary appeal brought against the Federal Administrative Contentious Court of Appeals ruling by the Executive Branch to be inadmissible on formal grounds (the Supreme Court did not rule on the substance of the matter). After the abovementioned resolutions, different judicial and out-of-court proceedings were brought by the OSBA (Argentine Bank Employees' Health Care Organization) to return the contributions. This situation affected the financial system as a whole, which led to the related answers from financial institutions.

Notwithstanding the situation described above, the Bank entered into out-of-court agreements with OSBA on behalf of Banco Patagonia Sudameris S.A. (currently Banco Patagonia S.A.) on November 24, 2003, and on behalf of former Lloyds TSB Bank plc, on January 3, 2005, with the dual objective of minimizing any contingency that might arise from the abovementioned claims and obtaining significant improvements in the quality of the services received by the Bank's employees enrolled in such health care organization.

NOTE 7: Restriction on distribution of earnings

BCRA Communiqué "A" 4,152 dated June 2, 2004, lifted the suspension of distribution of earnings established by Communiqué "A" 3,574, requiring the previous authorization from the Foreign Exchange and Financial Institutions Regulatory Agency for such distribution subject to the requirements established in the abovementioned communiqué. Additionally, through Communiqué "A" 4,589, the BCRA set new requirements to distribute earnings.

As described in note 19, the Regular General Shareholders' Meeting held on April 27, 2009, related to the year ended December 31, 2008, approved the distribution of earnings which includes the payment of cash dividends in the amount of 133,373, which are pending authorization from the BCRA and are recorded under "Miscellaneous liabilities - Dividends payable".

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Statutory Auditor

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BANCO PATAGONIA S.A.

**NOTES TO THE FINANCIAL STATEMENTS FOR
THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

NOTE 8: Transactions with companies under section No. 33, Law No. 19,550 (subsidiaries and affiliates)

The following table shows the Bank's receivables from / payables to subsidiaries and affiliates as of June 30, 2009, and December 31, 2008:

	<u>06/30/09</u>	<u>12/31/08</u>
Patagonia Valores S.A. Sociedad de Bolsa		
Miscellaneous receivables – Sundry receivables	37	28
Deposits - Checking accounts	259	235
Deposits – Special checking account	1,328	1,022
Memorandum accounts – Items in custody	49,195	25,366
Patagonia Inversora S.A. Sociedad Gerente de F.C.I.		
Miscellaneous receivables – Sundry receivables	78	82
Deposits - Checking accounts	21	149
Deposits – Special checking account	751	2,486
Memorandum accounts – Items in custody	3,350	6,066
Banco Patagonia (Uruguay) S.A. I.F.E		
Other receivables from financial intermediation – Receivables from spot sales of government securities pending settlement	11	155
Other receivables from financial intermediation – Spot purchases of government securities pending settlement	-	4
Deposits - Checking accounts	165	1,413
Deposits – Special checking account	-	496
Other liabilities from financial intermediation – Payables for spot purchases of government securities pending settlement	-	4
Other liabilities from financial intermediation – Spot sales of government securities pending settlement	11	155
Memorandum accounts – Items in custody	151,774	247,096
Memorandum accounts – Guarantees received	64,424	38,250

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(Figures stated in thousands of Argentine pesos)

The table below shows the income (loss) as of June 30, 2009, and 2008, from transactions with subsidiaries with which the Bank consolidates its financial statements as required by BCRA Comuniculé "A" 2,227:

	<u>06/30/09</u>	<u>06/30/08</u>
Patagonia Valores S.A. Sociedad de Bolsa		
Interest on deposits	10	15
Fees and commissions earned	173	213
Fees and commissions paid	17	58
Patagonia Inversora S.A. Sociedad Gerente de F.C.I.		
Interest on deposits	14	2
Fees and commissions earned	349	379
Banco Patagonia (Uruguay) S.A. I.F.E.		
Interest on deposits	-	1
Fees and commissions earned	2	12

The Bank's interest in subsidiaries is disclosed in note 1 to the consolidated financial statements with subsidiaries.

NOTE 9: Deposit Guarantee Insurance System

Law No. 24,485 and Presidential Decree No. 540/95 created a limited and mandatory Deposit Guarantee Insurance System for valuable consideration designed to provide coverage for risks inherent in bank deposits, as a subsidiary and supplementary protection to the one offered by the system of bank deposit privileges and protection created by the Financial Institutions Law.

Such law created Seguros de Depósitos S.A. (SEDESA) for the exclusive purpose of managing the deposit guarantee fund, the shareholders of which, as amended by Presidential Decree No. 1,292/96, shall be the BCRA with at least one share, and the trustees of the trust agreement created by financial institutions in the proportion established by the BCRA based on their contributions to the deposit guarantee fund. Such company was created in August 1995. The Bank's equity interest therein is 3.9652% according to the percentages determined by BCRA Comuniculé "B" 9494 dated March 12, 2009.

This system shall cover the deposits in Argentine pesos and foreign currency with the participating institutions as checking accounts, savings accounts, certificates of deposit or any other types

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(Figures stated in thousands of Argentine pesos)

determined by the BCRA, as long as fulfilling the requirements under Presidential Decree No. 540/95 and any others established by the enforcement authority.

The system will not include: (a) financial institutions' deposits with other intermediaries, including the certificates of deposit acquired through secondary negotiation; (b) deposits made by persons related, either directly or indirectly, to the bank, according to BCRA current or future regulations; (c) time deposits of securities, acceptances or guarantees; d) deposits made after July 1, 1995, for which the interest rate agreed upon exceeded by two annual percentage points the BCRA deposit rate for equivalent certificates of deposit, effective on the date before the day the deposit was made; the BCRA is empowered to modify the reference rate established in this point; and (e) other deposits that the enforcement authority may exclude in the future.

NOTE 10: Trust activities

The Bank executed a series of agreements with other companies whereby it was appointed trustee of certain financial trusts. The corpus assets of these trusts were mainly loans.

As of June 30, 2009, the Bank managed the following financial trusts subject to public offering:

Financial trust	Trustor	Date of agreement	Assets as of 03.31.09	Corpus assets	Shareholder s' equity
Banco Piano IV	Banco Piano S.A.	09/14/06	423	Personal loans originated by the Trustor	282
Banco Piano V	Banco Piano S.A.	12/12/06	826	Personal loans originated by the Trustor	563
Banco Piano VI	Banco Piano S.A.	04/10/07	4,327	Créditos personales originados por el Fiduciante	3,532
Banco Piano VII	Banco Piano S.A.	08/15/07	11,872	Personal loans originated by the Trustor	11,216
Banco Piano VIII	Banco Piano S.A.	11/01/07	10,558	Personal loans originated by the Trustor	10,484
Banco Piano IX	Banco Piano S.A.	01/24/08	23,697	Personal loans originated by the Trustor	21,308
Banco Piano X	Banco Piano S.A.	05/05/08	28,656	Personal loans originated by the Trustor	19,511
Banco Piano XI	Banco Piano S.A.	11/13/08	49,271	Personal loans originated by the Trustor	8,666
Banco Piano XII	Banco Piano S.A.	02/19/09	27,776	Personal loans originated by the Trustor	3,262
Columbia VI	Banco Columbia S.A.	12/09/05	779	Personal loans originated by the Trustor	228
Columbia VII	Banco Columbia S.A.	05/12/06	1,695	Personal loans originated by the Trustor	989
Columbia VIII	Banco Columbia S.A.	09/03/07	11,735	Personal loans originated by the Trustor	11,167
Columbia Tarjetas IX	Banco Columbia S.A.	11/21/07	(*) 352	Credits arising from the use of credit cards	-
Columbia Tarjetas X	Banco Columbia S.A.	01/07/08	(*) 665	Credits arising from the use of credit cards	-
Cetrogar V	Cetrogar S.A.	03/17/08	4,393	Personal loans originated by the Trustor	2,927
Cetrogar VI	Cetrogar S.A.	07/01/08	8,795	Personal loans originated by the Trustor	7,495
Cetrogar VII	Cetrogar S.A.	12/15/08	24,750	Personal loans originated by the Trustor	6,858

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Financial trust	Trustor	Date of agreement	Assets as of 03.31.09	Corpus assets	Shareholder s' equity
CMF Garantizados I	Banco CMF S.A.	09/23/05	24,026	PGN (loans granted by the Argentine Government and secured by bonds) - Presidential Decree No. 1,387/01	-
CMR Falabella XI	CMR Falabella	03/25/08	(**) 316	Credits arising from the use of credit cards	-
CMR Falabella XIII	CMR Falabella	07/21/08	(**) 325	Credits arising from the use of credit cards	-
CMR Falabella XIV	CMR Falabella	11/07/08	(*) 459	Credits arising from the use of credit cards	-
CMR Falabella XV	CMR Falabella	12/22/08	23,792	Credits arising from the use of credit cards	11,402
CMR Falabella XVI	CMR Falabella	03/04/09	64,232	Credits arising from the use of credit cards	14,715
Credicutas IV	Banco Velox S.A.	05/31/01	1,861	Personal loans originated by the Trustor	591
Cuencred VII	Cooperativa de Crédito Cuenca	12/11/07	4,890	Personal loans originated by the Trustor	2,685
Cuencred VIII	Cooperativa de Crédito Cuenca	07/24/08	10,308	Personal loans originated by the Trustor	3,458
Cuencred IX	Cooperativa de Crédito Cuenca	12/01/08	13,982	Personal loans originated by the Trustor	2,744
Fava XIX	Favacard S.A.	07/17/08	6,428	Credits arising from the use of credit cards	5,954
Fava XX	Favacard S.A.	10/20/08	10,224	Credits arising from the use of credit cards	8,021
Fava XXI	Favacard S.A.	12/02/08	15,767	Credits arising from the use of credit cards	5,826
Fava XXII	Favacard S.A.	02/05/09	24,185	Credits arising from the use of credit cards	5,566
GMAC I	GMAC Compañía Financiera S.A.	09/05/08	73,232	Loans backed by security agreements on automobiles, originated by the Trustor	29,573
GMAC II	GMAC Compañía Financiera S.A.	12/12/08	85,986	Loans backed by security agreements on automobiles, originated by the Trustor	23,420
GMAC III	GMAC Compañía Financiera S.A.	02/20/09	98,826	Loans backed by security agreements on automobiles, originated by the Trustor	24,245
IRSA I	Inversora Bolívar S.A. y Baldovinos S.A., IRSA Inversiones y Representaciones S.A.	12/17/01	788	Personal loans and mortgage loans on real property	445
Tarjeta Kadicard IV	Caja de Crédito Coop. La Capital del Plata Ltda	10/07/08	24,056	Credits arising from the use of credit cards	8,851
Kadicard V	Caja de Crédito Coop. La Capital del Plata Ltda	12/16/08	8,949	Personal loans in Argentine pesos originated by the Trustor	3,189
Lombardi V	Naldo Lombardi S.A.	05/15/08	4,731	Consumer loans originated by the Trustor	4,335
Lombardi VI	Naldo Lombardi S.A.	09/22/08	9,846	Consumer loans originated by the Trustor	3,899

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(Figures stated in thousands of Argentine pesos)

Financial trust	Trustor	Date of agreement	Assets as of 03.31.09	Corpus assets	Shareholder s' equity
Otero VI	Uole S.A.	11/13/07	(***) 45	Consumer loans originated by the Trustor	-
Otero VII	Uole S.A.	03/11/08	(*) 98	Consumer loans originated by the Trustor	-
Otero VIII	Uole S.A.	06/26/08	5,671	Consumer loans originated by the Trustor	2,723
Palmares V	Coop. De Vivienda, Cred. Y Consumo Palmares Ltda. y Asoc. Mutual de Centros Educativos	12/10/08	5,843	Personal loans originated by the Trustor	3,355
Palmares VI	Coop. De Vivienda, Cred. Y Consumo Palmares Ltda. y Asoc. Mutual de Centros Educativos	10/31/07	13,658	Créditos personales originados por el Fiduciante	3,053
Ribeiro XIX	Ribeiro S.A.C.I.F.A. e.I.	11/27/07	1,114	Consumer loans originated by the Trustor	486
Ribeiro XX	Ribeiro S.A.C.I.F.A. e.I.	04/04/08	1,879	Consumer loans originated by the Trustor	1,077
Ribeiro XXIII	Ribeiro S.A.C.I.F.A. e.I.	05/02/08	2,949	Consumer loans originated by the Trustor	2,211
Ribeiro XXIV	Ribeiro S.A.C.I.F.A. e.I.	06/03/08	3,481	Consumer loans originated by the Trustor	2,495
Ribeiro XXV	Ribeiro S.A.C.I.F.A. e.I.	07/25/08	9,523	Consumer loans originated by the Trustor	9,424
Ribeiro XXVI	Ribeiro S.A.C.I.F.A. e.I.	09/23/08	14,818	Consumer loans originated by the Trustor	1,552
Ribeiro XXVII	Ribeiro S.A.C.I.F.A. e.I.	11/17/08	30,073	Consumer loans originated by the Trustor	14,417
Ribeiro XXVIII	Ribeiro S.A.C.I.F.A. e.I.	01/23/09	42,183	Consumer loans originated by the Trustor	14,203
Ribeiro XXIX	Ribeiro S.A.C.I.F.A. e.I.	10/19/07	57,956	Consumer loans originated by the Trustor	15,709
Tarjeta Sáenz I	Banco Sáenz S.A.	02/25/08	18,036	Credits arising from the use of credit cards	6,706
Tarjeta Sáenz II	Banco Sáenz S.A.	11/26/08	21,840	Credits arising from the use of credit cards	6,356
Tarjeta Sáenz III	Banco Sáenz S.A.	10/31/07	31,579	Credits arising from the use of credit cards	7,780
TOTAL			978,525		

(*) As per liquidation financial statements issued on 4/30/2009.
 (**) As per liquidation financial statements issued on 3/31/2009.
 (***) As per liquidation financial statements issued as of 2/28/2009.

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Public financial trusts authorized by the CNV, the financial statements of which are required after 6/30/2009

Financial trust	Trustor	Date of agreement	Corpus assets
CMR Falabella XVII	CMR Falabella	06/26/09	Credits arising from the use of credit cards
Fava XXIII	Favacard S.A.	04/15/09	Credits arising from the use of credit cards
Lucaioli I	Casa Humberto Lucaioli S.A.	03/25/09	Consumer loans originated by the Trustor and created using promissory notes
Palmares VII	Coop. De Vivienda, Cred. Y Consumo Palmares Ltda. y Asoc. Mutual de Centros Educativos	06/18/09	Personal loans originated by the Trustor
Banco Piano XIII	Banco Piano S.A.	05/28/09	Personal loans originated by the Trustor
Serie Ribeiro XXX	Ribeiro S.A.C.I.F.A.e.I	03/31/09	Consumer loans originated by the Trustor
Serie Ribeiro XXXI	Ribeiro S.A.C.I.F.A.e.I	06/02/09	Consumer loans originated by the Trustor

Private financial trusts

Financial trust	Trustor	Date of agreement	Corpus assets
Metro	Pedro López e Hijos S.A.	09/10/02	Real property located in the City of Buenos Aires and the Province of Mendoza
San Isidro Loft	Federico Alvarez Castillo/ Inversora El Huerto/ Carlos Narváez Moore	03/30/06	Real property located in the district of Martínez, Province of Buenos Aires
Inmobiliario Balbín 4100	Novecento Emprendimientos S.R.L.	07/02/07	Real property located in the City of Buenos Aires

Financial trusts – in guarantee

Financial trust	Trustor	Date of agreement	Corpus assets
Bogar Clase II Serie I	Provincia de Río Negro	12/26/03	Percentage of the daily provincial tax revenues
Havanna	Great Brands Inc.	11/12/03	Liquid funds

The Bank acts as trustee of the abovementioned trusts, and in no case will it answer for the obligations undertaken in executing these trusts with its own assets; these obligations will only be covered with and up to the combination of corpus assets and the proceeds therefrom. In addition, the trustee shall not encumber corpus assets or dispose of them beyond the limits established in the related trust agreements.

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The commissions earned by the Bank for acting as trustee are calculated under the terms of the related agreements.

NOTE 11: Global Corporate Bond Issuance Program

The Bank has in effect a global corporate bond issuance program for a maximum amount outstanding at any time of up to USD 150 million approved by the shareholders' meeting of February 27, 1996, and by the CNV through certificate No. 115 dated June 4, 1996.

Under the referred program, the Bank issued a series of subordinated corporate bonds amounting to USD 80 million, which was approved by the Shareholders' Meeting of June 27, 2000, and by the CNV through certificate No. 271 dated August 15, 2000, and issued on December 27, 2000, maturing in ten years from such date. The effective rate for the seventeenth six-month period for the payment of interest that expired on March 27, 2009, was a nominal rate of 6.20% p.a., and the nominal rate agreed for the new six-month period ending next September 27, 2009, is 4.0125% p.a.

In addition, on September 27, 2008, the Bank settled USD 16 million for the third principal repayment installment. The next maturity date is September 27, 2009. As of June 30, 2009, the residual principal amounts to USD 32 million.

The Bank's Board of Directors decided that the funds obtained from this placement be added to the Bank's working capital in Argentina, i.e. be included in the Bank's funding structure.

NOTE 12: Derivative financial instruments

As of June 30, 2009, and December 31, 2008, the Bank held the following derivative financial instruments:

- a) Forward - futures transactions: includes forward purchases and sales of foreign currency and the BADLAR rate without delivery of the underlying asset traded. They are valued at their listed price as of each period- or year-end, as the case may be, on Mercado Abierto Electrónico and these transactions are performed by the Bank for the purpose of intermediation for its own account. As of June 30, 2009, and 2008, the Bank booked income (loss) in the amount of 29,656 and 219, respectively, resulting from foreign currency transactions, and for BADLAR rate transactions the Bank booked income (loss) for (52) and (7), respectively.

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- b) Boden put options: Includes the amount representing contingent obligations assumed by the Bank derived from put options sold on principal and interest coupons of Argentine Government Bonds in US dollars - Boden 2012 and Boden 2013 -, established in Presidential Decree No. 905/02 and 1,836/02, related to customers who requested such option. They are valued at technical value as of each period- or year-end, as the case may be.
- c) Reverse repurchase and repurchase agreements – forward contracts: includes the reverse repurchase and repurchase agreements on Argentine government securities pending settlement. These transactions are valued as mentioned in note 1.4.i.1. and 2 and are performed by the Bank for the purpose of intermediation for its own account. As of June 30, 2009 and 2008, the Bank booked income in the amount of 58,477 and 2,758 respectively.

NOTE 13: CNV requirement for acting as OTC agent

Under CNV General Resolution No. 368/01, as supplemented, the financial institutions authorized by the BCRA are exempt from the minimum shareholders' equity and counter-guarantee requirement established in such regulations. As the Bank meets the equity requirements provided by the BCRA, it is entitled to such exemption.

NOTE 14: Mutual fund custodian

Under section 32, Chapter XI .11, of the revised text of CNV regulations, below is the information on the total amount in custody as of June 30, 2009, of the portfolio of the following mutual funds for which the Bank acts as depository institution:

Name	Deposits	Other	Total assets
Lombard income in ARS mutual fund	255,579	3,817	259,396
Fondo Nuevo income in USD mutual fund – (a)	231	-	231
Lombard Acciones mutual fund	148	3,013	3,161
Lombard fixed income premium mutual fund – (a)	43	706	749
Lombard fixed income mutual fund	127	4,212	4,339
Lombard Ahorro mutual fund	18,544	-	18,544
Lombard Capital F.C.I.	5,051	10,768	15,819
TOTAL	279,723	22,516	302,239

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NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1) (Figures stated in thousands of Argentine pesos)

a) Mutual funds settlement

On October 7, 2005, Patagonia Inversora S.A. Sociedad Gerente de Fondos Comunes de Inversión and Banco Patagonia S.A. (manager and depository, respectively) approved to begin the "Fondo Nuevo Renta en Dólares Fondo Común de Inversión" and "Fondo Común de Inversión Lombard Renta Fija Premium" liquidation process pursuant to the provisions of CNV General Resolution No. 439/03. On April 25, 2006, the CNV notified the resolution of not authorizing the beginning of the liquidation process, due to the existence of legal actions brought by holders of shares in such mutual funds pending court resolution. Therefore, as from that date, the funds mentioned above are only authorized to receive redemptions.

On January 19, 2009, the manager and depository companies approved the beginning of a Lombard Cer Renta Fija F.C.I. liquidation process considering that on January 2, 2009, the last holder of shares was fully redeemed, thus having settled the Fund's shareholders' equity after making the abovementioned redemption payment. As of the date of issuance of these financial statements, no reply had been received from the CNV.

Additionally, on June 29, 2009, the manager and depository companies approved the beginning of a Lombard Asia F.C.I. and Lombard Europa F.C.I. liquidation process considering that on May 26, 2009, the last holder of shares was fully redeemed, thus having settled shareholders' equity of each Fund after making the abovementioned redemption payment.

b) Cancellation and deregistration of mutual funds without movements.

On December 4, 2008, the manager and depository approved the request for cancellation with the CNV of the Lombard América F.C.I., Lombard Latin América F.C.I. and Lombard Global F.C.I. mutual funds and the deregistration with CNV's register. It is noteworthy that such mutual funds have never received requests for subscription and, accordingly, they have no assets in their portfolio. On February 26, 2009, the CNV cancelled the registration of the abovementioned funds with the registries of such commission through General Resolution No. 16,079.

NOTE 15: Financial agent of the Province of Río Negro

Under Law No. 2,929 of the Province of Río Negro, and the agreement signed on May 27, 1996, the Bank acted as financial agent of the Provincial Government, being in charge of the banking duties established in section 1.2. of the abovementioned agreement.

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Accounting Manager

Rubén M. Iparraguirre
General Assistant Manager
Administration and Finance Area

Jorge G. Stuart Milne
Chairman

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**NOTES TO THE FINANCIAL STATEMENTS FOR
THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

On February 28, 2006, such agreement expired. Through successive extensions it remained effective through December 31, 2006, under the same terms and conditions as those of the abovementioned agreement. Furthermore, through Argentine public bidding No. 1/2006, the Ministry of Finance, Public Works and Services of the Province of Río Negro called for the engagement of a bank to render services as agent. The bids opening date was August 4, 2006, and Banco Patagonia has submitted the related bid.

Finally, as a result of such bidding process, on December 14, 2006, the Río Negro Province Banking and Financial Services Agreement was signed for a 10-year term as from January 1, 2007. Such duties do not include the obligation to provide financial aid to the Province of Río Negro under conditions other than those consistent with the private bank nature of this bank.

NOTE 16: Breakdown of items in "Other" accounts with amounts exceeding 20% of the respective account's total balance

Balance sheet items	06/30/09	12/31/08
A. Miscellaneous receivables		
Security deposits	69,428	55,052
Prepaid taxes	36,939	44,412
Sundry receivables	36,142	30,987
Advance payments	9,028	11,648
Other	2,529	1,936
	<u>154,066</u>	<u>144,035</u>
B. Other liabilities from financial intermediation		
Credit and debit card consumption charges payable	129,000	147,148
Foreign trade payment orders	112,664	108,777
Tax withholdings payable	34,067	29,473
IADB loan No. 1,192/OC-AR	13,474	15,782
Collections and other transactions on account and behalf of others	22,055	17,409
Other	9,736	18,850
	<u>320,996</u>	<u>337,439</u>

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BANCO PATAGONIA S.A.

**NOTES TO THE FINANCIAL STATEMENTS FOR
THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

Balance sheet items	06/30/09	12/31/08
C. Miscellaneous liabilities		
Taxes payable	223,121	144,517
Salaries and payroll taxes payable	30,855	39,393
Sundry payables	45,618	27,691
Other	9,449	7,149
	<u>309,043</u>	<u>218,750</u>
D. Memorandum accounts – Debit-balance control accounts		
Other items in custody	1,822,462	1,309,740
Checks and securities to be collected	201,630	202,609
Checks and securities to be debited	183,384	128,004
	<u>2,207,476</u>	<u>1,640,353</u>
Income-statement items	06/30/09	06/30/08
E. Service-charge expense		
Credit card expenses	15,534	16,227
ATM fees	11,516	8,741
Turnover tax	11,201	8,102
Other	1,846	3,373
	<u>40,097</u>	<u>36,443</u>
F. Miscellaneous income		
Gain (loss) from the sale of bank premises and equipment	3,677	1,757
Adjustments and interest on miscellaneous receivables	837	594
Rentals	745	533
Other	2,699	3,523
	<u>7,958</u>	<u>6,407</u>

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**NOTES TO THE FINANCIAL STATEMENTS FOR
THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

NOTE 17: Minimum cash requirement

The following table shows the items booked by the Bank as minimum cash requirement, as provided by the related BCRA standards, as of June 30, 2009, and December 31, 2008:

Item	06/30/09	12/31/08
Cash		
Cash on hand	198,087	231,907
Cash held by armored car companies	168,802	183,146
BCRA – Checking account	673,518	831,450
Other receivables from financial intermediation		
BCRA – Special guarantee accounts	157,685	100,967
Total	<u>1,198,092</u>	<u>1,347,470</u>

NOTE 18: Statement of cash flows

The statement of cash flows as of June 30, 2009, and 2008 explains the changes in cash and cash equivalents and for such purpose, only the total amount included under “Cash and due from banks” was considered cash.

Additionally, there are no transactions related to investment or financing activities which have an impact on cash and which should be disclosed as a result of their significance.

NOTE 19: Distributions of earnings

The Regular Shareholders’ Meeting, held on April 27, 2009, related to the fiscal year ended December 31, 2008, approved the following distribution of earnings:

To legal reserve	53,349
To cash dividend payment (subject to approval by the BCRA) (see note 7)	133,373
To unappropriated retained earnings	<u>217,063</u>
Total	<u>403,785</u>

The abovementioned distribution of earnings contemplates the off-balance sheet adjustments under point 2.1.2, BCRA Communiqué “A” 4,664, as attended for a total of 88,999, which is then included in the 217,063 that will remain in Unappropriated retained earnings.

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**NOTES TO THE FINANCIAL STATEMENTS FOR
THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

As of the issuance date of these financial statements, BCRA authorization was pending in relation to the payment of cash dividends, totaling ARS 0.184258 per outstanding share as of share registry closing date and which shall be made available to the Shareholders within thirty running days after the Bank has received notice from the BCRA.

Under Law No. 25,063, the dividends to be distributed, either in cash or in kind, in excess of accumulated taxable income as of the year-end immediately preceding the payment or distribution date, will be subject to the effective income tax withholding as single and definitive payment. In this regard, and as the abovementioned dividend distribution did not exceed the abovementioned taxable income, no income tax withholdings were made.

NOTE 20: Transactions with directors

No transactions falling under the provisions of section No. 271, Law No. 19,550, have been identified.

NOTE 21: Financial statements publication

Under Communiqué "A" 2,813, as supplemented, prior intervention by the BCRA is not required for the publication of these financial statements.

NOTE 22: Situation of the financial and capital markets

As from the second half of 2008, the financial markets of the main countries in the world have been affected by volatility, illiquidity and lack of credit conditions. Consequently, a significant drop in stock exchange indexes was noted on international markets and a global economic deceleration started to be evidenced. Despite the actions taken by the core countries, the future evolution of international markets is uncertain.

In Argentina, stock markets showed sharp drops in the prices of government and private securities, as well as a rise in interest rates, country risk premium and exchange rates. Additionally, in December 2008, Law No. 26,425 was enacted, which put an end to the private pension fund management system (AFJP) and pursuant to which a single government-managed pension fund system shall be in place. During January 2009, as further described in note 1(4)c, secured loans kept by financial institutions, insurance companies and other capital market

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**NOTES TO THE FINANCIAL STATEMENTS FOR
THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (Note 1.1)**
(Figures stated in thousands of Argentine pesos)

companies were swapped for a new government debt instrument, which allowed the Argentine Government to postpone four years, on average, the due dates of these obligations.

The Bank's Management continuously monitors the evolution of the abovementioned situations to determine the possible actions to be taken and identify potential effects on its financial position that should be reflected in the financial statements for future periods.

NOTE 23: Explanation added for translation in English

These financial statements are the English translation of those originally issued in Spanish.

They are presented in accordance with generally accepted accounting principles in Argentina. The effects of differences between Argentine generally accepted accounting principles and the accounting principles generally accepted in the countries in which the accompanying financial statements may be used have not been quantified.

Accordingly, these financial statements are not intended to present financial position, results of operations or changes in financial position in accordance with accounting principles generally accepted in the countries of users of the financial statements, other than Argentina.

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BANCO PATAGONIA S.A.

EXHIBIT "A"
BREAKDOWN OF GOVERNMENT AND PRIVATE SECURITIES
AS OF 06/30/09 AND 12/31/08

(Figures stated in thousands of Argentine pesos)

Name	Identification	Holdings			Position without options (1)	Final position
		Market value	Book balances as of 06/30/2009	Book balances as of 12/31/08		
Holdings in investment accounts						
- Argentine Government Bonds in USD Libor 2012 (Boden)	5426	82,984	92,694	186,947	196,945	196,945
Total held in investment accounts		82,984	92,694	186,947	196,945	196,945
Holdings for trading or intermediation transactions in Argentina						
- Argentine Government Bonds USD 7% 2013	5435	151,661	151,661	-	23,002	23,002
- Argentine Government Bonds in ARS private BADLAR + 275 basic points 2014	5439	88,689	88,689	-	81,488	81,488
- Argentine Government Bonds in USD 7% p.a. 2015	5433	56,725	56,725	-	56,895	56,895
- Argentine Government Bonds in ARS 2014	5431	42,328	42,328	-	43,788	43,788
- Social security debt consolidation bonds in ARS, Series, 42%	2429	37,231	37,231	12,071	37,231	37,231
- Argentine Government Bonds in ARS 10.50% 2012 (Bonar Arg ARS V)	5437	27,755	27,755	3,090	27,755	27,755
- Boden 2012 coupon 15 income and depreciation	5326	27,212	27,212	-	74,159	74,159
- Argentine Government Bonds in USD Libor 2012 (Boden)	5426	25,387	25,387	11,894	25,066	25,066
- Discount bonds in ARS + GDP Variation Securities in ARS	45696	18,326	18,326	14,487	17,897	17,897
- Secured bonds, Presidential Decree No. 1,579/02 (Bogar)	2405	16,193	16,193	11,380	17,504	17,504
- Debt consolidation bonds in ARS 4 th Series 2%	2449	5,910	5,910	476	16	16
- Argentine Government Bonds in ARS 10.50% 2012 - Bonar Arg ARS V	5434	4,491	4,491	-	-	-
- Par bonds in ARS Step-Up 2038 + GDP Variation Securities in ARS	45695	2,046	2,046	1,500	792	792
- Social security debt consolidation bonds in ARS 2 nd Series 2%, Maturity: 01/03/10	2427	1,438	1,438	4,363	3,548	3,548
- Debt consolidation bonds in ARS 2 nd Series 2%	2448	768	768	837	768	768
- Par bonds in USD (Argentine law)	45699	103	103	69	-	-
- Argentine Government Bonds in USD 2013 1 st Series	5427	9	9	9	9	9
- Long-term par bonds in USD. Maturity 2035 (BPLD)	44541	-	-	4	-	-
Total holdings for trading or intermediation transactions		506,272	506,272	60,180	409,918	409,918
Unlisted Argentine government securities						
- Argentine Government Bonds in ARS private BADLAR + 350 basic points 2013	5438	-	55,531	45,420	42,532	42,532
- Debt consolidation bonds in ARS 6 th Series 2%	2420	-	1,569	-	-	-
- Other	-	-	64	62	62	62
Total unlisted government securities			57,164	45,482	42,594	42,594
Instruments issued by the BCRA						
- BCRA bills – Under repo transactions		317,479	317,479	1,200,331	-	-
- BCRA internal bills – Maturity: 09/23/2009	45913	256,478	256,478	1,181,865	-	-
- BCRA internal bills – Maturity: 08/05/2009	46017	34,538	34,538	-	-	-
- BCRA internal bills – Maturity: 09/02/2009	46021	14,653	14,653	-	-	-
- BCRA internal bills – Maturity: 08/12/2009	45995	11,810	11,810	-	-	-
- BCRA bills – Maturity: 03/11/2009	45860	-	-	13,660	-	-
- BCRA bills – Maturity: 04/22/2009	45870	-	-	4,806	-	-
- BCRA bills – Unlisted, own portfolio		-	9,974	-	9,974	9,974
- BCRA internal bills – Maturity: 07/08/2009	45969	-	9,974	-	9,974	9,974

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EXHIBIT "A"
BREAKDOWN OF GOVERNMENT AND PRIVATE SECURITIES
AS OF 06/30/09 AND 12/31/08

(Figures stated in thousands of Argentine pesos)

Name	Identification	Holdings			Position without options (1)	Final position
		Market value	Book balances as of 6/30/2009	Book balances as of 12/31/08		
- BCRA notes – Listed – Own portfolio		155,447	155,447	375,549	155,447	155,447
- BCRA notes in ARS variable coupon (BADLAR) maturing 07/01/2009	46007	154,823	154,823	-	154,823	154,823
- BCRA notes in ARS variable coupon (BADLAR) maturing 03/25/2010	45862	390	390	994	390	390
- BCRA notes in ARS variable coupon (BADLAR) maturing 01/06/2010	45845	198	198	19,087	198	198
- BCRA notes in ARS variable coupon (BADLAR) maturing 01/20/2010	45851	36	36	19,522	36	36
- BCRA notes in ARS variable coupon (BADLAR) maturing 03/18/2009	46005	-	-	151,899	-	-
- BCRA notes in ARS variable coupon (BADLAR) maturing 01/21/2009	45850	-	-	108,216	-	-
- BCRA notes in ARS variable coupon (BADLAR) maturing 04/21/2010	45873	-	-	29,768	-	-
- BCRA notes in ARS variable coupon (BADLAR) maturing 02/10/2010	45853	-	-	19,228	-	-
- BCRA notes in ARS variable coupon (BADLAR) maturing 03/11/2009	45861	-	-	14,353	-	-
- BCRA notes in ARS variable coupon (BADLAR) maturing 02/11/2009	45852	-	-	9,374	-	-
- BCRA notes in ARS variable coupon (BADLAR) maturing 05/27/2009	45883	-	-	3,108	-	-
- BCRA notes – Under repo transactions		18,936	18,936	24,221	-	-
- BCRA notes in ARS variable coupon (BADLAR) maturing 03/25/2010	45862	10,135	10,135	-	-	-
- BCRA notes in ARS variable coupon (BADLAR) maturing 01/20/2010	45851	6,192	6,192	-	-	-
- BCRA notes in ARS variable coupon (BADLAR) maturing 01/06/2010	45845	2,609	2,609	2,608	-	-
- BCRA notes in ARS variable coupon (BADLAR) maturing 02/11/2009	45852	-	-	13,539	-	-
- BCRA notes in ARS variable coupon (BADLAR) maturing 01/06/2010	45846	-	-	8,074	-	-
- BCRA notes – Unlisted – Own portfolio		-	989,584	-	989,584	989,584
- BCRA notes in ARS variable coupon (BADLAR) maturing 11/18/2009	46010	-	400,240	-	400,240	400,240
- BCRA notes in ARS variable coupon (BADLAR) maturing 10/14/2009	46013	-	303,300	-	303,300	303,300
- BCRA notes in ARS variable coupon (BADLAR) maturing 07/22/2009	46008	-	154,785	-	154,785	154,785
- BCRA notes in ARS variable coupon (BADLAR) maturing 12/09/2009	46024	-	101,070	-	101,070	101,070
- BCRA notes in ARS variable coupon (BADLAR) maturing 04/21/2010	45873	-	30,189	-	30,189	30,189
Total instruments issued by the BCRA			1,491,420	1,600,101	1,155,005	1,155,005
Investments in listed private securities						
- Other equity securities – issued in Argentina		-	-	62	-	-
- Other		-	-	62	-	-
Total listed private securities		-	-	62	-	-
Total government and private securities			2,147,550	1,892,772	1,804,462	1,804,462

(1) Includes "Holdings" plus "Deposits offered as security" "Loans" and "Spot and forward purchases pending settlement" less "Deposits" and "Spot and forward sales awaiting settlement".

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BANCO PATAGONIA S.A.

EXHIBIT "B"
FINANCING FACILITIES CLASSIFIED BY STATUS AND GUARANTEES RECEIVED
AS OF 06/30/09 AND 12/31/08

(Figures stated in thousands of Argentine pesos)

Commercial loan portfolio	06/30/09	12/31/2008
Performing	2,445,078	2,456,534
- With "A" preferred guarantees and counter-guarantees	237,024	276,108
- With "B" preferred guarantees and counter-guarantees	259,190	234,719
- Without preferred guarantees or counter-guarantees	1,948,864	1,945,707
Subject to special monitoring	4,105	1,642
In observation	3,721	898
- With other preferred guarantees	128	-
- Without preferred guarantees or counter-guarantees	3,593	898
In negotiation or under refinancing agreements	384	744
- Without preferred guarantees or counter-guarantees	384	744
Troubled	3,854	770
- With "B" preferred guarantees and counter-guarantees	692	147
- Without preferred guarantees or counter-guarantees	3,162	623
With high risk of insolvency	18,528	18,663
- Without preferred guarantees or counter-guarantees	18,528	18,663
Irrecoverable	8,317	9,133
- Without preferred guarantees or counter-guarantees	8,317	9,133
Irrecoverable according to BCRA regulations	17	17
- Without preferred guarantees or counter-guarantees	17	17
Total commercial loan portfolio	2,479,899	2,486,759

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EXHIBIT "B"
FINANCING FACILITIES CLASSIFIED BY STATUS AND GUARANTEES RECEIVED
AS OF 06/30/09 AND 12/31/08

(Figures stated in thousands of Argentine pesos)

Consumer and/or home loan portfolio	06/30/09	12/31/08
Performing	1,629,155	1,590,560
- With "A" preferred guarantees and counter-guarantees	12,681	13,141
- With "B" preferred guarantees and counter-guarantees	150,662	148,410
- Without preferred guarantees or counter-guarantees	1,465,812	1,429,009
Low risk	43,636	35,685
- With "A" preferred guarantees and counter-guarantees	107	6
- With "B" preferred guarantees and counter-guarantees	4,545	2,760
- Without preferred guarantees or counter-guarantees	38,984	32,919
Medium risk	23,798	16,341
- With "B" preferred guarantees and counter-guarantees	802	496
- Without preferred guarantees or counter-guarantees	22,996	15,845
High risk	37,157	24,709
- With "B" preferred guarantees and counter-guarantees	930	1,031
- Without preferred guarantees or counter-guarantees	36,227	23,678
Irrecoverable	14,672	9,636
- With "B" preferred guarantees and counter-guarantees	368	167
- Without preferred guarantees or counter-guarantees	14,304	9,469
Irrecoverable according to BCRA regulations	270	813
- With "B" preferred guarantees and counter-guarantees	-	6
- Without preferred guarantees or counter-guarantees	270	807
Total consumer and/or home loan portfolio	1,748,688	1,677,744
Grand total	4,228,587	4,164,503

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EXHIBIT "C"
FINANCING FACILITIES CONCENTRATION AS OF 06/30/09 AND 12/31/08
(Figures stated in thousands of Argentine pesos)

Number of customers	Financing facilities			
	06/30/09		12/31/08	
	Outstanding amount	% of total portfolio	Outstanding amount	% of total portfolio
10 largest customers	371,107	8,78%	353,947	8,50%
50 next largest customers	691,593	16,35%	675,151	16,21%
100 next largest customers	530,516	12,55%	476,896	11,45%
Rest of customers	2,635,371	62,32%	2,658,509	63,84%
Total	4,228,587	100,00%	4,164,503	100,00%

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EXHIBIT "D"
FINANCING FACILITIES BROKEN DOWN BY TERM AS OF 06/30/09
(Figures stated in thousands of Argentine pesos)

Item	Matured	Terms remaining to maturity						Total
		1 month	3 months	6 months	12 months	24 months	Over 24 months	
Nonfinancial government sector	-	954	628	1,078	4,776	4,834	1,728	13,998
Financial sector	-	46,736	26,192	77,356	53,402	16,585	3,287	223,558
Nonfinancial private sector and foreign residents	131,679	1,567,769	401,003	324,175	284,365	498,659	783,381	3,991,031
Total	131,679	1,615,459	427,823	402,609	342,543	520,078	788,396	4,228,587

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EXHIBIT "E"
BREAKDOWN OF INVESTMENTS IN OTHER COMPANIES
AS OF 06/30/09 AND 12/31/08
(Figures stated in thousands of Argentine pesos)

Identification	Name	Stock and/or membership interests				Amount	
		Class	Face value per unit	Votes per share	Number	06/30/09	12/31/08
	<u>In financial institutions, supplementary and authorized activities – Subsidiaries – In Argentina</u>						
30654325126	Patagonia Valores S.A. Sociedad de Bolsa	Common	\$ 1	1	13,862,507	15,191	14,585
30608298815	Patagonia Inversora S.A. Soc. Gte. F.C.I.	Common	\$ 1	1	13,317,237	16,269	14,780
	<u>Subsidiaries – Foreign</u>						
00034UY0117	Banco Patagonia (Uruguay) S.A. I.F.E.	Common	USD 100	1	50,000	38,352	34,865
	<u>Nonsubsidiaries – In Argentina</u>						
30604796357	Banelco S.A.	Common	\$ 1	1	1,287,561	3,004	3,004
30598910045	Visa Argentina S.A.	Common	\$ 0,0001	1	1,173,498	1,805	1,805
33663293309	Provincanaje S.A.	Common	\$ 1	1	600,000	685	685
30682415513	Seguros de Depósitos S.A.	Common	\$ 1	1	39,652	493	493
30690783521	Interbanking S.A.	Common	\$ 1	1	134,600	284	284
30525698412	Mercado a Término de Buenos Aires S.A.	Common	\$ 39.252	1	1	73	73
33628189159	Mercado Abierto Electrónico S.A.	Common	\$ 1.200	1	4	65	65
30542421289	Bolsa de Comercio de Mar del Plata S.A.	Common	\$ 1	5	106	56	56
30688964306	Argencontrol S.A.	Common	\$ 1	1	48,906	53	53
30692264785	Compensadora Electrónica S.A.	Common	\$ 1	1	31,242	46	42
	Other					16	16
	<u>Nonsubsidiaries - Foreign</u>						
00034US0001	Banco Latinoamericano de Comercio Exterior S.A.	Class B	USD 16,92	1	5,033	65	59
00034US0001	Banco Latinoamericano de Comercio Exterior S.A.	Preferred	USD 10	1	125	5	4
30590221275	S.W.I.F.T.	Common	€1	1	1	12	11
	<u>In other companies – Nonsubsidiaries – In Argentina</u>						
30605114969	Sanatorio Las Lomas S.A.	Common	\$ 1	1	52,979	84	84
	Other					106	106
Total investments in other companies						76,664	71,070

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EXHIBIT "E"
BREAKDOWN OF INVESTMENTS IN OTHER COMPANIES
AS OF 06/30/09 AND 12/31/08

(Figures stated in thousands of Argentine pesos)

Name	Information regarding the issuer – Latest annual financial statement information				
	Main business activity	Year-end date	Capital	Shareholders' equity	Income (loss) for the year
<u>In financial institutions, supplementary and authorized activities – Subsidiaries – In Argentina</u>					
Patagonia Valores S.A. Sociedad de Bolsa	Brokerage house	12-31-08	13,863	14,585	(2,111)
Patagonia Inversora S.A. Soc. Gte. F.C.I.	Mutual funds management	12-31-08	13,317	14,780	(93)
<u>Subsidiaries – Abroad</u>					
Banco Patagonia (Uruguay) S.A. I.F.E.	Foreign bank	12-31-08	14,477	34,865	4,102
<u>Nonsubsidiaries – In Argentina</u>					
Banelco S.A.	ATM network management	12-31-08	23,599	52,838	9,984
Visa Argentina S.A.	Credit card issuing company	05-31-08	15,228	454,781	429,039
Provincanaje S.A.	Clearing house of provincial banks	12-31-08	7,200	8,147	(407)
Seguros de Depósitos S.A.	Deposit insurance fund resource administration	12-31-08	1,000	13,490	736
Interbanking S.A.	Interbank transfer services	12-31-08	1,346	24,607	10,695
Mercado a Término de Buenos Aires S.A.	Performance bond and settlement of agreements of miscellaneous assets	06-30-08	17,091	37,155	2,902
Mercado Abierto Electrónico S.A.	Coordination of securities trading	12-31-08	242	12,040	1,229
Bolsa de Comercio de Mar del Plata S.A.	Coordination of securities trading	06-30-08	13	8,837	856
Argencontrol S.A.	Agent in charge of settling capital market transactions	12-31-08	700	927	52
Compensadora Electrónica S.A.	Electronic clearing account network management	12-31-08	1,000	1,832	72
<u>Nonsubsidiaries - Abroad</u>					
Banco Latinoamericano de Comercio Exterior S.A.	Foreign bank	12-31-08	1,039,705	2,132,752	204,684
S.W.I.F.T.	Interbank telecommunication service	12-31-08	593,754	1,396,723	131,694
<u>In other companies – Nonsubsidiaries – In Argentina</u>					
Sanatorio Las Lomas S.A.	Medical services center	06-30-08	8,889	16,717	407

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EXHIBIT "F"
CHANGES IN BANK PREMISES AND EQUIPMENT, AND MISCELLANEOUS ASSETS
AS OF 06/30/09 AND 12/31/08
(Figures stated in thousands of Argentine pesos)

Item	Restated residual values at beginning of fiscal year	Additions	Transfers	Retirements	Depreciation for the period		Residual value as of 06/30/09	Residual value as of 12/31/08
					Years of useful life	Amount		
Bank premises and equipment (1)								
Real property	67,684	7,484	2,707	-	50	1,173	76,702	67,684
Furniture and fixtures	6,434	1,136	-	61	10	2,204	5,305	6,434
Machinery and equipment	19,384	1,487	-	66	5	2,322	18,483	19,384
Vehicles	2,983	1,226	-	-	5	1,294	2,915	2,983
Other	151	2	-	-	5	31	122	151
Total	96,636	11,335	2,707	127		7,024	103,527	96,636
Miscellaneous assets								
Works in progress (2)	111	-	(111)	-	-	-	-	111
Prepayments for the purchase of assets (2)	3,174	1,484	-	3,463	-	-	1,195	3,174
Works of art (2)	786	-	-	-	-	-	786	786
Assets under lease (2)	4,220	-	-	-	50	185	4,035	4,220
Stationery and office supplies (2)	1,120	1,070	-	1,159	-	-	1,031	1,120
Other miscellaneous assets (1)	30,930	84,564	(2,596)	3,273	50	574	109,051	30,930
Total	40,341	87,118	(2,707)	7,895		759	116,098	40,341

(1) See note 1.4.l.

(2) See note 1.4.m.

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EXHIBIT "G"
BREAKDOWN OF INTANGIBLE ASSETS
AS OF 06/30/09 AND 12/31/08
(Figures stated in thousands of Argentine pesos)

Item	Residual value at beginning of year	Additions (1)	Amortization for the period		Residual value as of 06/30/09	Residual value as of 12/31/08
			Years of useful life assigned	Amount		
Organization and development expenses	-	-	-	-	-	-
Total	-	-	-	-	-	-

(1) See notes 1.4.n.1. and .2.

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EXHIBIT "H"
DEPOSITS CONCENTRATION
AS OF 06/30/09, AND 12/31/08
(Figures stated in thousands of Argentine pesos)

Number of customers	06/30/09		12/31/08	
	Outstanding Balance	% of total portfolio	Outstanding Balance	% of total portfolio
10 largest customers	650,229	11,87%	613,698	11,70%
50 next largest customers	594,861	10,85%	678,020	12,92%
100 next largest customers	417,204	7,61%	379,247	7,23%
Rest of customers	3,818,415	69,67%	3,574,969	68,15%
Total	5,480,709	100,00%	5,245,934	100,00%

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**EXHIBIT “I”
BREAKDOWN BY TERM OF DEPOSIT, OTHER LIABILITIES FROM FINANCIAL INTERMEDIATION
AND SUBORDINATED CORPORATE BONDS AS OF JUNE 30, 2009**

(Figures stated in thousands of Argentine pesos)

Item	Terms remaining to maturity						Total
	1 month	3 months	6 months	12 months	24 months	Over 24 months	
Depósitos	4,630,873	664,983	112,588	58,027	13,851	387	5,480,709
Other liabilities from financial intermediation							
BCRA	632	-	-	-	-	-	632
Banks and international organizations	-	-	2,375	-	-	18,976	21,351
Other	304,580	882	1,338	2,728	5,275	6,284	321,087
Total other liabilities from financial intermediation	305,212	882	3,713	2,728	5,275	25,260	343,070
Subordinated corporate bonds	-	61,982	-	-	60,723	-	122,705
GRAND TOTAL	4,936,085	727,847	116,301	60,755	79,849	25,647	5,946,484

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EXHIBIT "J"
CHANGES IN ALLOWANCES AND PROVISIONS
AS OF 06/30/09 AND 12/31/08
(Figures stated in thousands of Argentine pesos)

Breakdown	Balance at beginning of year, restated	Increases in constant pesos	Decreases in constant pesos		Balance s as of 06/30/09	Balance s as of 12/31/08
			Reversals	Uses		
Allowances						
Government and private securities – for impairment in value	-	13,122	-	-	13,122	-
Loans – for uncollectibility risk and impairment in value	106,627	52,330	-	9,682	149,275	106,627
Other receivables from financial intermediation – for uncollectibility risk and impairment in value	1,675	64	-	-	1,739	1,675
Assets under financial lease – for uncollectibility risk and impairment in value	2,350	636	-	306	2,680	2,350
Miscellaneous receivables – for uncollectibility risk	4,615	41	-	1,381	3,275	4,615
Total	115,267	66,193	-	11,369	170,091	115,267
Provisions						
Contingent commitments	191	15	-	-	206	191
Other contingencies	58,492	20,762	2,998	8,612	67,644	58,492
Total	58,683	20,777	2,998	8,612	67,850	58,683

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EXHIBIT "K"
CAPITAL STOCK STRUCTURE
AS OF JUNE 30, 2009
(Figures stated in thousands of Argentine pesos)

Shares (1)			Capital stock		
Class	Number	Votes per share	Issued (1)		Paid-in (1)
			Outstanding	Treasury stock (2)	
Class "A" shares of common stock	22,768,818	1	22,769	-	22,769
Class "B" shares of common stock	725,386,860	1	698,471	26,916	725,387
Total	748,155,678		721,240	26,916	748,156

(1) See notes 3.1. and 3.2.

(2) They are deposited under Patagonia Valores S.A. Sociedad de Bolsa's custody.

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EXHIBIT "L"
AMOUNTS IN FOREIGN CURRENCY
AS OF 06/30/09 AND 12/31/08
(Figures stated in thousands of Argentine pesos)

ITEMS	Head office and branches in Argentina	Total as of 06/30/09	Euro	US dollar	Pound sterling	Swiss franc	Yen	Other	Total as of 12/31/08
ASSETS									
Cash	642,574	642,574	33,976	604,014	3,755	417	21	391	811,823
Government and private securities	358,281	358,281	-	358,281	-	-	-	-	198,923
Loans	838,755	838,755	817	837,930	8	-	-	-	894,227
Other receivables from financial intermediation	248,392	248,392	-	248,392	-	-	-	-	14,709
Assets under financial lease	60,146	60,146	-	60,146	-	-	-	-	57,081
Investments in other companies	38,434	38,434	12	38,422	-	-	-	-	34,939
Miscellaneous receivables	61,826	61,826	6	61,803	17	-	-	-	53,310
Items pending allocation	263	263	-	263	-	-	-	-	233
Totals	2,248,671	2,248,671	34,811	2,209,251	3,780	417	21	391	2,065,245
LIABILITIES									
Deposits	1,010,360	1,010,360	21,155	989,205	-	-	-	-	899,519
Other liabilities from financial intermediation	316,654	316,654	9,853	305,375	1,395	31	-	-	301,578
Miscellaneous liabilities	838	838	-	838	-	-	-	-	732
Subordinated corporate bonds	122,705	122,705	-	122,705	-	-	-	-	112,288
Items pending allocation	15	15	15	-	-	-	-	-	17
Totals	1,450,572	1,450,572	31,023	1,418,123	1,395	31	-	-	1,314,134
MEMORANDUM ACCOUNTS									
Debit-balance									
Contingent	1,919,668	1,919,668	19,004	1,900,664	-	-	-	-	1,740,474
Control	663,643	663,643	20,818	639,104	-	-	465	3,256	638,274
Totals	2,583,311	2,583,311	39,822	2,539,768	-	-	465	3,256	2,378,748
Credit-balance									
Contingent	153,642	153,642	2,593	151,042	-	-	7	-	106,229
Totals	153,642	153,642	2,593	151,042	-	-	7	-	106,229

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Rubén M. Iparraguirre
General Assistant Manager
Administration and Finance Area

Jorge G. Stuart Milne
Chairman

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BANCO PATAGONIA S.A.

EXHIBIT "N"
CREDIT ASSISTANCE TO RELATED PARTIES
AS OF 06/30/09 AND 12/31/08
(Figures stated in thousands of Argentine pesos)

Item	Performing	Total	
		06/30/09	12/31/08
1. Loans	1,066	1,066	5,140
Overdrafts	426	426	2,052
- Without preferred guarantees or counter-guarantees	426	426	2,052
Notes	411	411	2,807
- Without preferred guarantees or counter-guarantees	411	411	2,807
Personal loans	28	28	43
- Without preferred guarantees or counter-guarantees	28	28	43
Credit cards	201	201	238
- Without preferred guarantees or counter-guarantees	201	201	238
2. Other receivables from financial intermediation	7	7	9
3. Assets under financial lease	449	449	632
4. Investments in other companies	69,812	69,812	64,230
Total	71,334	71,334	70,011
PROVISIONS	15	15	58

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BANCO PATAGONIA S.A.

EXHIBIT "O"
DERIVATIVE FINANCIAL INSTRUMENTS
AS OF JUNE 30, 2009
(Figures stated in thousands of Argentine pesos)

Type of contract	Purpose of transactions	Underlying asset	Type of settlement	Negotiation environment or counter-party	Originally agreed-upon weighted average term (1)	Residual weighted average term (1)	Weighted average term of calculation of differences (1)	Amount
Futures	Intermediation, for own account	Foreign currency	Daily settlement of differences	MAE (over-the-counter electronic market)	10	7	-	1,341,002
Futures	Intermediation, for own account	Other	Daily settlement of differences	MAE (over-the-counter electronic market)	24	23	-	19,923
Options	Other hedging	Argentine pesos	Other	Other Argentine markets	128	42	12	36,561
Forward contracts	Intermediation, for own account	Argentine government securities and instruments issued by the BCRA	With delivery of underlying asset	MAE (over-the-counter electronic market)	-	-	-	507,156

(1) Average terms are reported in months.

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**CONSOLIDATED BALANCE SHEETS (Section 33, Law No. 19,550)
AS OF 06/30/09 AND 12/31/08**

(Figures stated in thousands of Argentine pesos)

ASSETS	06/30/2009	12/31/2008
A. Cash		
Cash on hand	367,310	415,449
Financial institutions and correspondents	934,296	1,029,662
BCRA (Central Bank of Argentina)	673,518	831,450
Other in Argentina	18,863	15,734
Other abroad	<u>241,915</u>	<u>182,478</u>
	1,301,606	1,445,111
B. Government and private securities		
Holdings in investment accounts	92,694	186,947
Holdings for trading or intermediation transactions	517,237	65,679
Unlisted government securities	57,164	45,482
Instruments issued by the BCRA	1,496,426	1,608,202
Investments in listed private securities	-	62
(Allowances)	<u>(13,122)</u>	<u>-</u>
	2,150,399	1,906,372
C. Loans		
To the nonfinancial government sector (Exhibit 1)	10,947	29,464
To the financial sector (Exhibit 1)	214,227	298,990
Interbank (call options sold)	39,443	178,286
Other financing facilities granted to local financial institutions	172,416	118,326
Accrued interest, adjustments and listed-price differences receivable	2,368	2,378
To the nonfinancial private sector and foreign residents (Exhibit 1)	3,666,858	3,513,887
Overdrafts	622,586	594,239
Notes	1,287,483	1,353,126
Mortgage loans	122,714	129,846
Collateral loans	85,327	58,572
Personal loans	827,741	768,194
Credit cards	445,467	430,320
Other	239,904	141,861
Accrued interest, adjustments and listed-price differences receivable	41,404	45,586
(Unearned discount)	<u>(5,768)</u>	<u>(7,857)</u>
(Allowances)	<u>(149,275)</u>	<u>(106,627)</u>
	3,742,757	3,735,714

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**CONSOLIDATED BALANCE SHEETS (Section 33, Law No. 19,550)
AS OF 06/30/09 AND 12/31/08**

(Figures stated in thousands of Argentine pesos)

ASSETS – Continued	06/30/09	12/31/08
D. Other receivables from financial intermediation		
BCRA	260,345	111,567
Amounts receivable from spot sales awaiting settlement and forward sales	499,021	1,109,549
Securities and foreign currency receivable from spot and forward purchases awaiting settlement and forwards purchases	33,507	1,804
Unlisted corporate bonds (Exhibit 1)	6,743	7,954
Other not covered by Debtor Classification Standards	119,694	97,457
Other covered by Debtor Classification Standards (Exhibit 1)	287,880	352,155
Accrued interest and adjustments covered by Debtors Classification Standards (Exhibit 1)	357	509
(Allowances)	<u>(1,739)</u>	<u>(1,675)</u>
	1,205,808	1,679,320
E. Assets under financial lease		
Assets under financial lease (Exhibit 1)	159,124	186,356
(Allowances)	<u>(2,680)</u>	<u>(2,350)</u>
	156,444	184,006
F. Investments in other companies		
In financial institutions	70	63
Other	<u>8,846</u>	<u>8,841</u>
	8,916	8,904
G. Miscellaneous receivables		
Trade receivables (Exhibit 1)	8,219	8,675
Other	156,436	147,018
Accrued interest and adjustments receivable related to trade receivables (Exhibit 1)	36	107
(Allowances)	<u>(4,552)</u>	<u>(5,892)</u>
	160,139	149,908
H. Bank premises and equipment	105,119	98,105
I. Miscellaneous assets	116,099	40,344
J. Intangible assets	-	-
K. Items pending allocation	658	375
TOTAL ASSETS	8,947,945	9,248,159

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**CONSOLIDATED BALANCE SHEETS (Section 33, Law No. 19,550)
AS OF 06/30/09 AND 12/31/08**

(Figures stated in thousands of Argentine pesos)

LIABILITIES	06/30/09	12/31/08
L. Deposits		
Nonfinancial government sector	709,911	706,526
Financial sector	28,160	38,299
Nonfinancial private sector and foreign residents	5,056,468	4,807,875
Checking accounts	1,003,895	932,669
Savings accounts	1,526,802	1,413,731
Certificate of deposit	1,903,090	1,911,830
Investment accounts	2,269	5,742
Other	603,440	526,235
Accrued interest, adjustments and listed-price differences payable	16,972	17,668
	5,794,539	5,552,700
M. Other liabilities from financial intermediation		
BCRA	632	880
Banks and international organizations	21,351	161,769
Amounts payable for spot and forward purchases pending settlement	34,056	2,015
Securities and foreign currency to be delivered under spot and forward sales pending settlement	547,975	1,233,700
Financing facilities received from local financial institutions	-	6,986
Other financing facilities from local financial institutions	-	6,907
Accrued interest payable	-	79
Other	321,536	337,826
Accrued interest, adjustments and listed-price differences payable	91	2,242
	925,641	1,745,418
N. Miscellaneous liabilities		
Dividends payable	133,373	-
Other	312,410	221,447
	445,783	221,447
O. Provisions	67,850	58,683
P. Subordinated corporate bonds	122,705	112,288
Q. Items pending allocation	1,665	1,513
R. Minority interests in consolidated institutions or companies	-	-
TOTAL LIABILITIES	7,358,183	7,692,049
SHAREHOLDERS' EQUITY	1,589,762	1,556,110
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	8,947,945	9,248,159

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**CONSOLIDATED BALANCE SHEETS (Section 33, Law No. 19,550)
AS OF 06/30/09 AND 12/31/08**

(Figures stated in thousands of Argentine pesos)

MEMORANDUM ACCOUNTS	06/30/09	12/31/08
DEBIT BALANCE		
Contingent		
Loans obtained (unused amounts)	332	1,742
Guarantees received	4,796,830	4,413,792
Contingent debit-balance contra accounts	<u>200,235</u>	<u>148,325</u>
	4,997,397	4,563,859
Control		
Receivables classified as irrecoverable	323,188	344,506
Other	2,825,299	2,071,755
Control debit-balance contra accounts	<u>673,401</u>	<u>598,436</u>
	3,821,888	3,014,697
Derivatives		
Notional value of forward transactions without delivery of underlying asset	1,325,436	473,937
Derivatives debit-balance contra account	<u>72,050</u>	<u>239,347</u>
	1,397,486	713,284
Trust activity		
Trust funds	<u>980,423</u>	<u>820,687</u>
	980,423	820,687
TOTAL DEBIT-BALANCE MEMORANDUM ACCOUNTS	11,197,194	9,112,527

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**CONSOLIDATED BALANCE SHEETS (Section 33, Law No. 19,550)
AS OF 06/30/09 AND 12/31/08**

(Figures stated in thousands of Argentine pesos)

MEMORANDUM ACCOUNTS - Continued	06/30/09	12/31/08
CREDIT BALANCE		
Contingent		
Loans granted (unused amounts) covered by Debtor Classification Standards (Exhibit 1)	40,000	29,489
Other guarantees provided covered by Debtor Classification Standards (Exhibit 1)	54,738	44,106
Other guarantees provided not covered by Debtor Classification Standards	49,978	41,417
Other covered by Debtor Classification Standards (Exhibit 1)	55,519	33,313
Contingent credit-balance contra accounts	<u>4,797,162</u>	<u>4,415,534</u>
	4,997,397	4,563,859
Control		
Checks and securities to be credited	162,763	175,104
Other	510,638	423,332
Control credit-balance contra accounts	<u>3,148,487</u>	<u>2,416,261</u>
	3,821,888	3,014,697
Derivatives		
Notional value of put options sold	36,561	39,685
Notional value of forward transactions without delivery of underlying asset	35,489	199,662
Derivatives credit-balance contra accounts	<u>1,325,436</u>	<u>473,937</u>
	1,397,486	713,284
Trust activity		
Trust activity credit-balance contra accounts	<u>980,423</u>	<u>820,687</u>
	980,423	820,687
TOTAL CREDIT-BALANCE MEMORANDUM ACCOUNTS	11,197,194	9,112,527

The accompanying notes 1 through 6 and Exhibit 1 are an integral part of these financial statement

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CONSOLIDATED STATEMENTS OF INCOME (SECTION 33, LAW NO. 19,550)
For the six-month periods ended 06/30/09, and 06/30/08
(Figures stated in thousands of Argentine pesos)

BREAKDOWN	06/30/09	06/30/08
A. FINANCIAL INCOME		
Interest on cash	238	4,127
Interest on loans to the financial sector	21,352	13,397
Interest on overdrafts	85,541	61,653
Interest on notes	95,198	76,330
Interest on mortgage loans	6,994	7,145
Interest on collateral loans	4,389	3,523
Interest on credit card loans	40,820	23,243
Interest on other loans	111,145	60,005
Interest on other receivables from financial intermediation	476	1,401
Net income from government and private securities	206,804	94,269
Income from PGN (loans granted by the Argentine Government and secured by bonds) – Presidential Decree No. 1,387/01	946	1,742
Adjustments under CER clause	347	6,532
Adjustments under CVS (salaries variation coefficient) clause	53	93
Gold and foreign currency quoted price difference	98,832	-
Other	<u>114,468</u>	<u>38,576</u>
	787,603	392,036
B. FINANCIAL EXPENSE		
Interest on savings-account deposits	3,270	3,294
Interest on certificates of deposit	150,172	99,357
Interest on interbank loans received (call options received)	1,334	1,283
Interest on other financing facilities from financial institutions	1,430	403
Interest on other liabilities from financial intermediation	825	351
Interest on subordinated corporate bonds	2,956	4,586
Other interest	266	593
Adjustments under CER clause	33	274
Contribution to the deposit guarantee fund	4,996	4,353
Gold and foreign currency quoted price difference	-	4,400
Other	<u>40,275</u>	<u>18,198</u>
	205,557	137,092
GROSS INTERMEDIATION MARGIN	582,046	254,944
C. PROVISION FOR LOAN LOSSES	53,030	13,222
D. SERVICE-CHARGE INCOME		
Related to lending transactions	67,952	70,171
Related to borrowing transactions	107,136	79,774
Other fees	12,693	11,090
Other	<u>38,280</u>	<u>30,932</u>
	226,061	191,967

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BANCO PATAGONIA S.A.**SCHEDULE I****CONSOLIDATED STATEMENTS OF INCOME (SECTION 33, LAW NO. 19,550)****For the six-month periods ended 06/30/09, and 06/30/08**

(Figures stated in thousands of Argentine pesos)

BREAKDOWN	06/30/09	06/30/08
E. SERVICE-CHARGE EXPENSE		
Fees	23,895	16,886
Other	<u>40,226</u>	<u>36,500</u>
	64,121	53,386
F. ADMINISTRATIVE EXPENSES		
Personnel expenses	187,681	157,107
Directors' and statutory auditors' fees	4,029	3,241
Other professional fees	11,295	11,492
Advertising	11,108	8,011
Taxes	20,307	15,108
Depreciation of bank premises and equipment	7,053	5,731
Other operating expenses	79,253	58,926
Other	<u>12,140</u>	<u>11,123</u>
	332,866	270,739
NET INCOME (LOSS) FROM FINANCIAL INTERMEDIATION	358,090	109,564
G. OTHER INCOME		
Income from long-term investments	710	1,062
Punitive interest	1,189	464
Receivables recovered and allowances reversed	10,479	18,080
Other	<u>7,969</u>	<u>6,431</u>
	20,347	26,037
H. MISCELLANEOUS LOSSES		
Punitive interest and charges payable to the BCRA	13	32
Charge for uncollectibility of miscellaneous receivables, and other provisions	20,840	4,209
Losses and depreciation of miscellaneous assets	768	539
Other	<u>3,049</u>	<u>2,671</u>
	24,670	7,451
NET INCOME BEFORE INCOME TAX	353,767	128,150
I. INCOME TAX	171,857	44,123
NET INCOME FOR THE PERIOD	181,910	84,027

The accompanying notes 1 through 6 and Exhibit 1 are an integral part of these financial statements.

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BANCO PATAGONIA S.A.**SCHEDULE I**

CONSOLIDATED STATEMENTS OF CASH FLOWS
(SECTION 33, LAW NO. 19,550)
For the six-month periods ended 06/30/09, and 06/30/08
 (Figures stated in thousands of Argentine pesos)

<u>Changes in cash and cash equivalents</u>	06/30/09	06/30/08
Cash at beginning of year	1,445,111	1,083,385
Cash at end of period	1,301,606	1,080,945
Net decrease in cash	(143,505)	(2,440)
<u>Causes of changes in cash</u>		
<u>Operating activities</u>		
Net collections / (payments) for:		
Government and private securities	(106,249)	424,841
Loans	398,697	(280,764)
To the financial sector	106,115	(44,021)
To the nonfinancial government sector	19,840	189,476
To the nonfinancial private sector and foreign residents	272,742	(426,219)
Other receivables from financial intermediation	(20,811)	(566,514)
Assets under financial lease	50,413	(7,337)
Deposits	(9,694)	82,227
To the financial sector	(10,139)	(313)
To the nonfinancial government sector	3,385	114,103
To the nonfinancial private sector and foreign residents	(2,940)	(31,563)
Other liabilities from financial intermediation	(4,238)	653,522
Financial sector or interbank loans (call options received)	(1,413)	19,393
Other (except for the obligations included under financing activities)	(2,825)	634,129
Collections related to service-charge income	227,550	190,591
Payments related to service-charge expense	(65,964)	(51,791)
Administrative expenses paid	(390,528)	(264,378)
Net collections for punitive interest	1,176	432
Collection of dividends from other companies	707	546
Other payments related to miscellaneous income and loss	(10,435)	(61,708)
Net (payments)/ collections for other operating activities	(8,743)	(2,575)
Income tax paid	(48,390)	(47,940)
<u>Net cash flow used for operating activities</u>	13,491	69,152

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BANCO PATAGONIA S.A.**SCHEDULE I**

CONSOLIDATED STATEMENTS OF CASH FLOWS
(SECTION 33, LAW NO. 19,550)
For the six-month periods ended 06/30/09, and 06/30/08
 (Figures stated in thousands of Argentine pesos)

	06/30/09	06/30/08
<u>Investing activities</u>		
Net payments/ (collections) for bank premises and equipment	(7,487)	(15,877)
Net payments/ (collections) for miscellaneous assets	(78,686)	(5,583)
Payments for the acquisition of investments in other companies	(4)	(4)
<u>Net cash flow used in investing activities</u>	(86,177)	(21,464)
<u>Financing activities</u>		
Net (payments)/collections for:		
Banks and international organizations	(140,418)	20,852
Subordinated corporate bonds	(3,662)	(5,618)
Dividends payments	-	(66,500)
Other payments for financing activities – Repurchase of treasury stock (1)	(14,885)	-
<u>Net cash flow used in financing activities</u>	(158,965)	(51,266)
Financial income (expense) and holding gains (losses) from cash and cash equivalents (including interest and monetary gain (loss))	88,146	1,138
Net decrease/ (increase) in cash	(143,505)	(2,440)

(1) See note 3.2. to Banco Patagonia S.A.'s stand-alone financial statements.

The accompanying notes 1 through 6 and Exhibit 1 are an integral part of these financial statements.

Marcelo A. Iadarola
Accounting Manager

Rubén M. Iparraguirre
General Assistant Manager
Administration and Finance Area

Jorge G. Stuart Milne
Chairman

Signed for identification purposes with our
report dated 08.10.09
On behalf of Statutory Audit Committee

Signed for identification purposes with
our report dated 08.10.09
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C.P.C.E.C.A.B.A. Vol. 1 Fo. 13

María Soledad Sampayo Cau
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Statutory Auditor

Andrea N. Rey (Partner)
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NOTES TO THE FINANCIAL STATEMENTS CONSOLIDATED WITH SUBSIDIARIES FOR THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (SECTION 33 – LAW No. 19,550)

(See note 1(1) to the stand-alone financial statements)

(Figures stated in thousands of Argentine pesos)

NOTE 1: Significant accounting policies related to the information

Banco Patagonia S.A. has prepared the consolidated financial statements in accordance with the methods established by BCRA (Central Bank of Argentina) Communiqué “A” 2,227, as supplemented. To such end, as of June 30, 2009, and December 31, 2008, it consolidated its balance sheet and Exhibit 1 “Financing facilities classified by status and guarantees received” and, as of June 30, 2009, and 2008, the statements of income and cash flow with the financial statements of the following companies:

Company	Shares		Percentage of	
	Class	Number	Total capital stock	Possible votes
Patagonia Valores S.A. Sociedad de Bolsa	Common stock	13,862,507	99,99%	99,99%
Patagonia Inversora SA. Sociedad Gerente Fondos Comunes de Inversión	Common stock	13,317,233	99,99%	99,99%
Banco Patagonia (Uruguay) S.A. I.F.E.	Common stock	50,000	100,00%	100,00%

Banco Patagonia S.A.'s Board of Directors considers that no other companies are required to be included in the consolidated financial statements as of June 30, 2009.

NOTE 2: Accounting methods used

The consolidated financial statements have been prepared based on the information included in the stand-alone financial statements of each one of the companies being consolidated, which were prepared based on similar methods to those used by the Bank to prepare its financial statements. For information on the accounting methods used, please refer to the notes to the following financial statements:

Company	Financial statements as of	Issuance date	Note
Banco Patagonia S.A.	06/30/2009	08/10/09	1
Patagonia Valores S.A. Sociedad de Bolsa	06/30/2009	08/07/09	1
Patagonia Inversora SA. Sociedad Gerente Fondos Comunes de Inversión	06/30/2009	08/07/09	1
Banco Patagonia (Uruguay) S.A. I.F.E.	06/30/2009	07/24/09	3

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NOTES TO THE FINANCIAL STATEMENTS CONSOLIDATED WITH SUBSIDIARIES FOR THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (SECTION 33 – LAW No. 19,550)**(See note 1(1) to the stand-alone financial statements)**

(Figures stated in thousands of Argentine pesos)

NOTE 3: Restricted assets

As of June 30, 2009, and December 31, 2008, the companies included in these consolidated financial statements held the following restricted assets:

Banco Patagonia S.A.

See note 4 to Banco Patagonia S.A.'s stand-alone financial statements.

Patagonia Valores S.A. Sociedad de Bolsa

As of June 30, 2009, and December 31, 2008, the Company held one share in Mercado de Valores S.A. as security for the transactions performed thereby, valued at restatement cost for an amount of 2,064.

Patagonia Inversora S.A. Sociedad Gerente de Fondos Comunes de Inversión S.A.

As of December 31, 2008, it held deposits with BBVA Banco Francés S.A. amounting to 214, which were attached and for which the Depository Company assumed the settlement commitment in the event of an unfavorable resolution.

On February 25, 2009, the court approved the agreement reached with the claimant who filed the action as a result of which the abovementioned funds were attached; as a result, as of June 30, 2009, there are no restricted assets.

Banco Patagonia (Uruguay) S.A. I.F.E.

As of June 30, 2009, and December 31, 2008, it held a deposit with the Central Bank of Uruguay amounting to 1,898, and 1,727, respectively, in compliance with section 393, Compilation of Central Bank of Uruguay's Financial System Regulation and Control Rules.

NOTE 4: Derivative financial instruments

See note 12 to Banco Patagonia S.A.'s stand-alone financial statements.

NOTE 5: Distributions of earnings**Banco Patagonia S.A.**

See note 19 to Banco Patagonia S.A.'s stand-alone financial statements.

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NOTES TO THE FINANCIAL STATEMENTS CONSOLIDATED WITH SUBSIDIARIES FOR THE SIX-MONTH PERIOD ENDED JUNE 30, 2009 (SECTION 33 – LAW No. 19,550)**(See note 1(1) to the stand-alone financial statements)**

(Figures stated in thousands of Argentine pesos)

Patagonia Valores S.A. Sociedad de Bolsa

The Regular General Shareholders' Meeting held April 27, 2009, approved the decision to absorb accumulated losses of 2,111 for the year ended December 31, 2008, by partially using the optional reserve. Such absorption was booked in the period ended June 30, 2009.

Patagonia Inversora S.A. Sociedad Gerente de Fondos Comunes de Inversión S.A.

The Regular General Shareholders' Meeting held April 27, 2009, approved the decision to absorb accumulated losses of 93 for the year ended December 31, 2008, by partially using the optional reserve. Such absorption was booked in the period ended June 30, 2009.

Banco Patagonia (Uruguay) S.A. I.F.E.

The Regular General Shareholders' Meeting held March 27, 2009, approved the distribution of USD 60,000 related to retained earnings as of the year ended December 31, 2008, to increase the voluntary reserve.

NOTE 6: Situation of the financial and capital markets

See note 22 to Banco Patagonia S.A.'s stand-alone financial statements.

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EXHIBIT "1"
(Section 33, Law No. 19,550)
FINANCING FACILITIES CLASSIFIED BY STATUS
AND GUARANTIES RECEIVED AS OF 06/30/09, AND 12/31/09
 (Figures stated in thousands of Argentine pesos)

Commercial loan portfolio	06/30/09	12/31/08
Performing	2,721,139	2,797,036
- With "A" preferred guarantees and counter-guarantees	237,024	276,108
- With "B" preferred guarantees and counter-guarantees	259,190	234,719
- Without preferred guarantees or counter-guarantees	2,224,925	2,286,209
Subject to special monitoring	4,105	1,642
In observation	3,721	898
- With "B" preferred guarantees and counter-guarantees	128	-
- Without preferred guarantees or counter-guarantees	3,593	898
In negotiation or under refinancing agreements	384	744
- Without preferred guarantees or counter-guarantees	384	744
Troubled	3,854	770
- With "B" preferred guarantees and counter-guarantees	692	147
- Without preferred guarantees or counter-guarantees	3,162	623
With high risk of insolvency	18,528	18,663
- Without preferred guarantees or counter-guarantees	18,528	18,663
Irrecoverable	8,317	9,133
- Without preferred guarantees or counter-guarantees	8,317	9,133
Irrecoverable according to BCRA regulations	17	17
- Without preferred guarantees or counter-guarantees	17	17
Total commercial loan portfolio	2,755,960	2,827,261

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EXHIBIT "1"
(Section 33, Law No. 19,550)
FINANCING FACILITIES CLASSIFIED BY STATUS
AND GUARANTIES RECEIVED AS OF 06/30/09, AND 12/31/09
 (Figures stated in thousands of Argentine pesos)

Consumer and/or home loan portfolio	06/30/2009	12/31/2008
Performing	1,629,155	1,590,560
- With "A" preferred guarantees and counter-guarantees	12,681	13,141
- With "B" preferred guarantees and counter-guarantees	150,662	148,410
- Without preferred guarantees or counter-guarantees	1,465,812	1,429,009
Low risk	43,636	35,685
- With "A" preferred guarantees and counter-guarantees	107	6
- With "B" preferred guarantees and counter-guarantees	4,545	2,760
- Without preferred guarantees or counter-guarantees	38,984	32,919
Medium risk	23,798	16,341
- With "B" preferred guarantees and counter-guarantees	802	496
- Without preferred guarantees or counter-guarantees	22,996	15,845
High risk	37,157	24,709
- With "B" preferred guarantees and counter-guarantees	930	1,031
- Without preferred guarantees or counter-guarantees	36,227	23,678
Irrecoverable	14,672	9,636
- With "B" preferred guarantees and counter-guarantees	368	167
- Without preferred guarantees or counter-guarantees	14,304	9,469
Irrecoverable according to BCRA regulations	270	813
- With "B" preferred guarantees and counter-guarantees	-	6
- Without preferred guarantees or counter-guarantees	270	807
Total consumer and/or home loan portfolio	1,748,688	1,677,744
Grand total	4,504,648	4,505,005

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STATUTORY AUDIT COMMITTEE'S REPORT

To the Shareholders and Directors of
BANCO PATAGONIA S.A.
Registered office: Tte. Gral. J. D. Perón 500
Buenos Aires

Dear Sirs,

1. We have performed a limited review of the accompanying balance sheet of BANCO PATAGONIA S.A. as of June 30, 2009, and the related statements of income, changes in shareholders' equity and cash flows for the six-month period then ended, notes 1 through 23, and exhibits A through L, N and O, and Schedule I that supplement them. The preparation and issuance of the documents reviewed is the responsibility of the Bank's Management in performing their exclusive functions.
2. We performed this review in accordance with effective statutory audit rules. Such rules require that the documents mentioned above be reviewed in accordance with the effective *sindicatura* (statutory auditor function) standards for the limited review of interim financial statements and that such review include verifying the agreement of the documents reviewed with the information on corporate decisions entered in minutes, as well as the compliance of such decisions with legal requirements and company bylaws in all formal and documentary respects. We have not performed any control over management decisions or performance and, therefore, we have not assessed the business decisions or criteria regarding administrative, financial, and marketing matters, as these are the exclusive responsibility of the Board of Directors. To perform our professional work on the documents mentioned in the first paragraph, we have reviewed the work performed by the firm Pistrelli, Henry Martin y Asociados S.R.L., in their capacity as external auditors, who issued their report dated August 10, 2009, in accordance with the effective auditing standards for the limited review of interim financial statements and the "Minimum external auditing standards" issued by the BCRA (Central Bank of Argentina) for the review of quarterly financial statements, and we concur with its conclusions. The review included the verification of work planning, of the nature, scope and timing of the procedures applied and of the results obtained, and was limited to the significant information in the documents reviewed.

3. As described in note 2 to the accompanying financial statements, the financial statements mentioned in the first paragraph have been prepared by the Bank in conformity with the accounting standards established by the BCRA, which differ from the professional accounting standards approved by the CPCECABA (Professional Council in Economic Sciences of the City of Buenos Aires), Argentina, in certain valuation and disclosure aspects described and quantified in such note.
4. Based on our work and on the report issued by Andrea N. Rey (Partner of the firm Pistrelli, Henry Martin y Asociados S.R.L.) dated August 10, 2009, we have not become aware of any facts or circumstances that would require making significant changes to the financial statements mentioned in the first paragraph above for them to be presented in conformity with the standards established by the BCRA and, except for the effect of the issues mentioned in the third paragraph, with professional accounting standards effective in the City of Buenos Aires, Argentina.
5. In compliance with current legal requirements, we further report that:
 - a) In the exercise of the legality control within our competence, during the six-month period ended June 30, 2009, we applied the remaining procedures described in section 294, Law No. 19,550, which we deemed necessary according to the circumstances and we have no observations to make in this regard.
 - b) The financial statements of BANCO PATAGONIA S.A. mentioned in the first paragraph are taken from books kept, in their formal respects, in conformity with current legal requirements and BCRA standards.

- c) In conformity with CNV (Argentine Securities Commission) General Resolution No. 340, and supplementary regulations, on the independence of the external auditor and on the quality of the audit procedures applied by such auditor and the Bank's accounting policies, the external auditor's report mentioned in the fourth paragraph includes a representation that professional auditing standards effective in Argentina, including independence requirements, have been applied and does not include any qualifications in connection with the application of such standards and professional accounting standards effective in the City of Buenos Aires, Argentina, considering the issues disclosed in the third paragraph.

Buenos Aires,
August 10, 2009

On behalf of Statutory Audit Committee

María Soledad Sampayo Cau
Certified Public Accountant (U.B.A.)
C.P.C.E.C.A.B.A. Vol. 58 - Fo. 135
Statutory Auditor